



# RED SEA POWER WIND FARM

Document prepared by ALLCOT AG

On behalf of Red Sea Power Limited SAS and SCA

|                                  |                                  |
|----------------------------------|----------------------------------|
| <b>Project title</b>             | Red Sea Power Wind Farm          |
| <b>Project ID</b>                | 3163                             |
| <b>Monitoring period</b>         | 01-June-2023 to 31-December-2024 |
| <b>Crediting period</b>          | 01-June-2023 to 31-May-2033      |
| <b>Original date of issue</b>    | 25-May-2025                      |
| <b>Most recent date of issue</b> | 26-September-2025                |
| <b>Version</b>                   | 8.0                              |
| <b>VCS Standard Version</b>      | 4.7                              |
| <b>Prepared by</b>               | ALLCOT AG                        |

# CONTENTS

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|          |                                                                       |           |
|----------|-----------------------------------------------------------------------|-----------|
| <b>1</b> | <b>PROJECT DETAILS.....</b>                                           | <b>4</b>  |
| 1.1      | Summary Description of the Project .....                              | 4         |
| 1.2      | Audit History.....                                                    | 5         |
| 1.3      | Sectoral Scope and Project Type .....                                 | 5         |
| 1.4      | Project Eligibility .....                                             | 5         |
| 1.5      | Project Design .....                                                  | 6         |
| 1.6      | Project Proponent .....                                               | 6         |
| 1.7      | Other Entities Involved in the Project .....                          | 6         |
| 1.8      | Ownership.....                                                        | 7         |
| 1.9      | Project Start Date .....                                              | 7         |
| 1.10     | Project Crediting Period .....                                        | 7         |
| 1.11     | Project Scale and Estimated GHG Emission Reductions or Removals ..... | 7         |
| 1.12     | Description of the Project Activity .....                             | 8         |
| 1.13     | Project Location .....                                                | 9         |
| 1.14     | Conditions Prior to Project Initiation .....                          | 11        |
| 1.15     | Compliance with Laws, Statutes and Other Regulatory Frameworks .....  | 12        |
| 1.16     | Double Counting and Participation under Other GHG Programs .....      | 12        |
| 1.17     | Double Claiming, Other Forms of Credit, and Scope 3 Emissions.....    | 13        |
| 1.18     | Sustainable Development Contributions .....                           | 14        |
| 1.19     | Additional Information Relevant to the Project .....                  | 20        |
| <b>2</b> | <b>SAFEGUARDS AND STAKEHOLDER ENGAGEMENT .....</b>                    | <b>20</b> |
| 2.1      | Stakeholder Engagement and Consultation.....                          | 20        |
| 2.2      | Risks to Stakeholders and the Environment.....                        | 32        |
| 2.3      | Respect for Human Rights and Equity .....                             | 36        |
| 2.4      | Ecosystem Health .....                                                | 39        |
| <b>3</b> | <b>APPLICATION OF METHODOLOGY.....</b>                                | <b>44</b> |
| 3.1      | Title and Reference of Methodology .....                              | 44        |
| 3.2      | Applicability of Methodology .....                                    | 44        |
| 3.3      | Project Boundary .....                                                | 54        |
| 3.4      | Baseline Scenario .....                                               | 58        |

|          |                                                                              |           |
|----------|------------------------------------------------------------------------------|-----------|
| 3.5      | Additionality .....                                                          | 58        |
| 3.6      | Methodology Deviations .....                                                 | 60        |
| <b>4</b> | <b>IMPLEMENTATION STATUS .....</b>                                           | <b>60</b> |
| 4.1      | Implementation Status of the Project Activity .....                          | 60        |
| <b>5</b> | <b>QUANTIFICATION OF ESTIMATED GHG EMISSION REDUCTIONS AND REMOVALS.....</b> | <b>61</b> |
| 5.1      | Baseline Emissions .....                                                     | 61        |
| 5.2      | Project Emissions .....                                                      | 67        |
| 5.3      | Leakage Emissions .....                                                      | 68        |
| 5.4      | Estimated GHG Emission Reductions and Carbon Dioxide Removals .....          | 68        |
| <b>6</b> | <b>MONITORING .....</b>                                                      | <b>69</b> |
| 6.1      | Data and Parameters Available at Validation .....                            | 69        |
| 6.2      | Data and Parameters Monitored.....                                           | 72        |
| 6.3      | Monitoring Plan .....                                                        | 73        |
| <b>7</b> | <b>QUANTIFICATION OF GHG EMISSION REDUCTIONS AND REMOVALS .....</b>          | <b>74</b> |
| 7.1      | Data and Parameters Monitored.....                                           | 74        |
| 7.2      | Baseline Emissions .....                                                     | 76        |
| 7.3      | Project Emissions .....                                                      | 77        |
| 7.4      | Leakage Emissions .....                                                      | 78        |
| 7.5      | GHG Emission Reductions and Carbon Dioxide Removals .....                    | 78        |
|          | <b>APPENDIX 1: COMMERCIALLY SENSITIVE INFORMATION.....</b>                   | <b>80</b> |

# 1 PROJECT DETAILS

## 1.1 Summary Description of the Project

The project consists of the construction and operation of a greenfield 59 MW wind power plant near the Lake of Ghoubet, Djibouti. It involves the setting up of wind turbines which will produce electricity for export to the national grid through EDD (Electricity of Djibouti).

The wind power plant, Djibouti's first utility-scale wind park, is built and owned by Red Sea Power Limited SAS, a simplified limited liability company incorporated under the laws of the Republic of Djibouti, registered within the Commercial Registry of Djibouti Number 15366/B/SAS.

Djibouti imports over 70% of its energy from Ethiopia, dominated by hydropower plants, while the local energy generation solely comes from diesel-fuelled power capacities. The project will thus substitute grid electricity by renewable energy and cut down GHG emissions from baseline fossil fuel intensive grid mix. Apart from emission reductions, the benefits of the project include, among others, improvement of energy self-sufficiency of the country, as well as creation of local employment.

It responds to the goals of Djibouti as stated in its INDCs committing the country to increase the share of renewables in electricity production to 100%, as echoed in the National Energy Policy of 2013 in alignment with Vision 2035.

The project's 59 MW will generate approximately 235 GWh per year and reduce 111,817 tCO<sub>2</sub>e of emission reductions per year. This will be 1,118,169 tCO<sub>2</sub>e of emission reductions over the ten-year crediting period.

### Implementation timeline:

|                  |                                                                      |
|------------------|----------------------------------------------------------------------|
| 05 February 2018 | Feasibility studies                                                  |
| 31 August 2018   | ESIA                                                                 |
| 19 May 2019      | Power Purchase Agreement with Electricity de Djibouti                |
| 01 June 2023     | Beginning of electricity injection to the grid during testing phase. |
| 01 January 2024  | Commercial operation start date                                      |

Prior to the implementation of the project, the existing scenario consisted in power generation and imports from Ethiopia existing grid mix, composed of hydroelectric sources (78% of the total installed capacity and power generation<sup>1</sup>).

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<sup>1</sup> <https://www.edd.dj/edd.html>

## 1.2 Audit History

| Audit type   | Period                            | Program | Validation/verification body name | Number of years     |
|--------------|-----------------------------------|---------|-----------------------------------|---------------------|
| Validation   | (01-June-2023-- 31-May-2033)      | VCS     | Carbon Check (India) Pvt. Ltd     | 10 years            |
| Verification | (01-June-2023-- 31-December-2024) | VCS     | Carbon Check (India) Pvt. Ltd     | 1 year and 7 months |

## 1.3 Sectoral Scope and Project Type

|                             |                                                                   |
|-----------------------------|-------------------------------------------------------------------|
| Sectoral scope <sup>2</sup> | Scope 1 – Energy Industries (renewable - / non-renewable sources) |
| Project activity type       | Renewable energy type and is not a grouped project.               |

## 1.4 Project Eligibility

### 1.4.1 General eligibility

The project is eligible under the scope of the VCS program version 4.7 because:

- It results in CO<sub>2</sub> emission reduction, one of the seven Kyoto protocol greenhouse gases
- It is supported by methodologies approved under a VCS approved GHG program
- The project activity, grid-connected electricity generation using (large scale) wind power in a Least Developed Country, is not excluded as per para 2.1.3, table 1, of the VCS Standard v4.7.
- Project capacity is 59 MW, it is a large-scale project not fragmented; therefore, project is eligible under the selected methodology (ACM0002 v 22.0).

Non-AFOLU projects shall complete validation within two years of the project start date. Start date of the project is 01 June 2023.

### 1.4.2 AFOLU project eligibility

Not applicable since project is not an AFOLU project.

<sup>2</sup> Projects, activities, or methodologies may be developed under any of the 16 VCS sectoral scopes: <https://verra.org/programs/verified-carbon-standard/vcs-program-details/#sectoral-scopes>

### 1.4.3 Transfer project eligibility

Not applicable since project has not been transferred.

## 1.5 Project Design

- ☒ Single location or installation
- ☐ Multiple locations or project activity instances (but not a grouped project)
- ☐ Grouped project

### Grouped Project Design

Not applicable since project is not a grouped project.

## 1.6 Project Proponent

|                   |                                                          |
|-------------------|----------------------------------------------------------|
| Organization name | The Sovereign Carbon Agency SAS                          |
| Contact person    | Jean Yves KOTTO                                          |
| Title             | Director                                                 |
| Address           | Zone Industrielle Sud – lot 188, P.O. Box 4476, Djibouti |
| Telephone         | +253 77503383                                            |
| Email             | jykotto@sovereign-carbon-agency.com                      |

## 1.7 Other Entities Involved in the Project

|                     |                                                            |
|---------------------|------------------------------------------------------------|
| Organization name   | Red Sea Power Limited SAS                                  |
| Role in the project | Legal owner                                                |
| Contact person      | Sameh Fathi Elalfi Ahmed                                   |
| Title               | Chief Executive Officer                                    |
| Address             | Moulk Centre Avenue Gandhi a Gabode 3 Republic of Djibouti |
| Telephone           |                                                            |
| Email               | sameh.alfy@redseapower.dj                                  |

## 1.8 Ownership

The legal right to control and run the project activity belongs to Red Sea Power Limited SAS, as per Land Leased dated 03 November 2019.

Sovereign Carbon Agency has been appointed Authorized Representative Agent by an agreement on 23 May 2024, with Red Sea Power Limited SAS, granting the Authorized Representative all rights, responsibilities to function as if it were the Project Proponent and/or Registry User.

On 25 August 2024 a Deed of accession in respect of VCS listing deed of representation was signed; in which the Sovereign Carbon Agency (SCA) acceded as a project proponent (PP), and a Partial release deed dated 26 August 2024 states that Red Sea Power Limited SAS was released as a PP.

## 1.9 Project Start Date

|                    |                                                                                                       |
|--------------------|-------------------------------------------------------------------------------------------------------|
| Project start date | 01-June-2023                                                                                          |
| Justification      | First injection of the project to the grid, and therefore, first emission reductions within the grid. |

## 1.10 Project Crediting Period

|                                                       |                                                                                                                                                                                                                                                     |
|-------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Crediting period                                      | <input type="checkbox"/> Seven years, twice renewable<br><input checked="" type="checkbox"/> Ten years, fixed<br><input type="checkbox"/> Other (state the selected crediting period and justify how it conforms with the VCS Program requirements) |
| Start and end date of first or fixed crediting period | 01-Jun-2023 to 31-May-2033                                                                                                                                                                                                                          |

## 1.11 Project Scale and Estimated GHG Emission Reductions or Removals

☒ < 300,000 tCO<sub>2</sub>e/year (project)

☐ ≥ 300,000 tCO<sub>2</sub>e/year (large project)

| Calendar year of crediting period   | Estimated GHG emission reductions or removals (tCO <sub>2</sub> e) |
|-------------------------------------|--------------------------------------------------------------------|
| 01-June-2023 to 31- December 2023   | 65,558                                                             |
| 01-January-2024 to 31-December 2024 | 111,817                                                            |
| 01-January-2025 to 31-December 2025 | 111,817                                                            |

|                                                                        |                  |
|------------------------------------------------------------------------|------------------|
| 01-January-2026 to 31-December 2026                                    | 111,817          |
| 01-January-2027 to 31-December 2027                                    | 111,817          |
| 01-January-2028 to 31-December 2028                                    | 111,817          |
| 01-January-2029 to 31-December 2029                                    | 111,817          |
| 01-January-2030 to 31-December 2030                                    | 111,817          |
| 01-January-2031 to 31-December 2031                                    | 111,817          |
| 01-January-2032 to 31-December 2032                                    | 111,817          |
| 01-January-2033 to 31-May 2033                                         | 46,258           |
| <b>Total estimated ERRs during the first or fixed crediting period</b> | <b>1,118,169</b> |
| <b>Total number of years</b>                                           | <b>10</b>        |
| <b>Average annual ERRs</b>                                             | <b>111,817</b>   |

## 1.12 Description of the Project Activity

The proposed project consists of setting up 17 G132-3.465MW T84 (capacity of 3.465 MW each). Generated electricity is fed via aerial collector lines (i.e. cables) to a substation on the Project site. An overhead transmission line connects the Project substation (found adjacent to the RN9) to the 230 kV circuits located in the proposed EDD Ghoubet transformer/ substation, adjacent to the RN9 national road, 3.5 km from the Project site.

This clean energy supply thus implies a substantial power capacity increase for the country, who is dependent of the Ethiopian grid.

The main elements of the wind power plant are 17 G132-3.465MW T84 wind turbines of 3.465 MW each; whose specifications are detailed below:

|                                 |                                                                                                                                                                            |
|---------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Make</b>                     | Siemens Gamesa                                                                                                                                                             |
| <b>Model</b>                    | G132                                                                                                                                                                       |
| <b>Power</b>                    | 3.465 MW                                                                                                                                                                   |
| <b>Cut-in wind speed [m/s]</b>  | 3m/s                                                                                                                                                                       |
| <b>Cut-out wind speed [m/s]</b> | 25m/s                                                                                                                                                                      |
| <b>Rated wind speed [m/s]</b>   | 14m/s                                                                                                                                                                      |
| <b>Rotor diameter [m]</b>       | 132 m                                                                                                                                                                      |
| <b>Converter voltage [V]</b>    | <ul style="list-style-type: none"> <li>690 V at the output of the wind turbine generator/converter</li> <li>20 kV at the output of the wind turbine transformer</li> </ul> |
| <b>Hub height [m]</b>           | 84 m                                                                                                                                                                       |
| <b>Lifetime</b>                 | 20 years                                                                                                                                                                   |

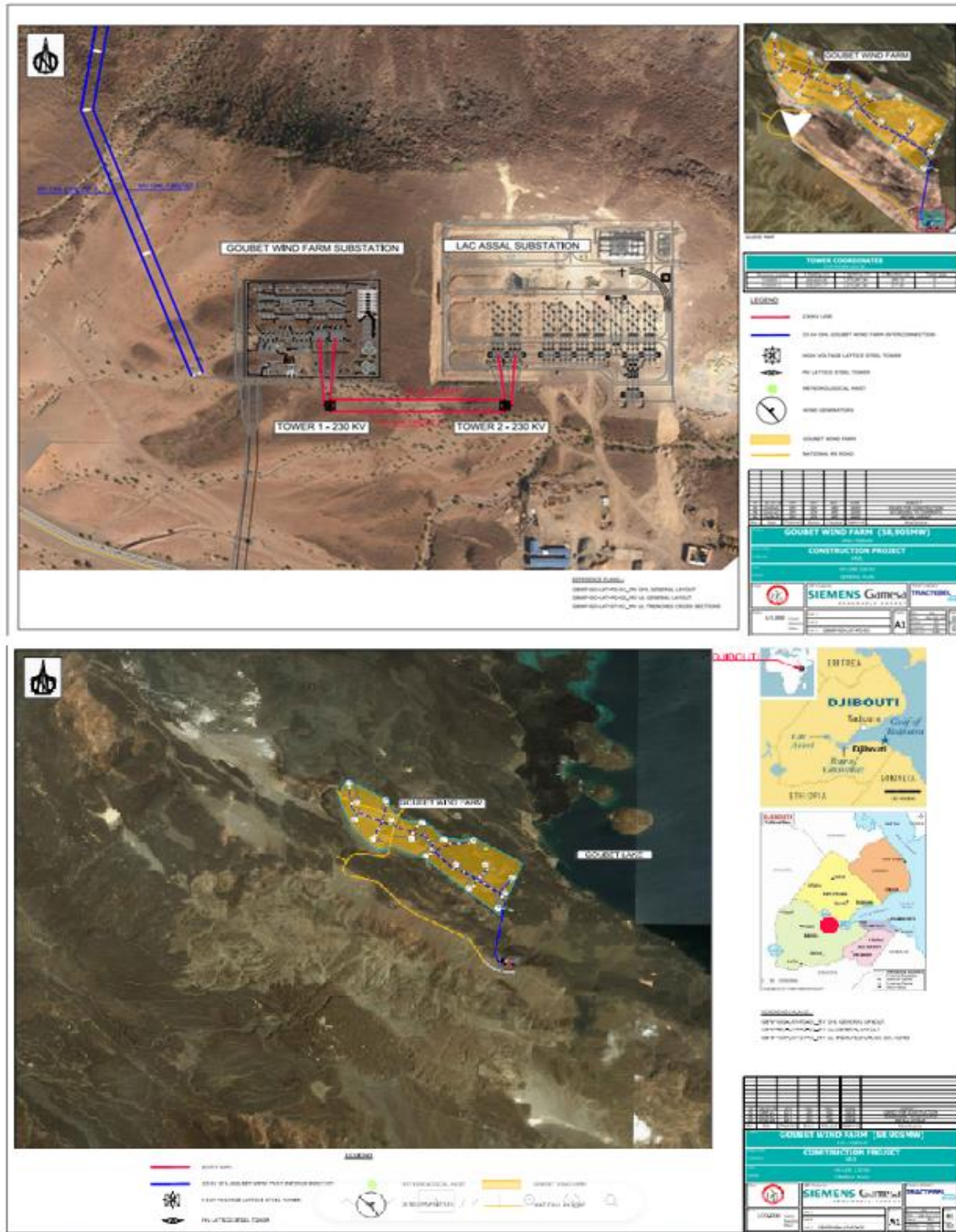


Associated with 2\*60MVA transformers before the metering equipment composed of 2 class 0.2S bi-directional meters ITRON SL7000-761W071 230kV (main and check meters) for import/export located at Ghoubet sub-station Delivery Point for EDD, as well as 2 class 0.2S bi-directional meter within the wind farm's premises for control purposes.

Following the provisions of the Law No. 88/AN/15/7<sup>th</sup> Regulating the Activities of Independent Electricity Producers dated 01<sup>st</sup> of July 2015, Red Sea Power Ltd has been granted a Generation License by the Ministère de l'Energie et des Ressources Naturelles (MERN). Generation License agreement signed on 19<sup>th</sup> of May 2019 by and between the Government of the Republic of Djibouti, Red Sea Power Limited SAS and Djibouti Wind Company LTD

### 1.13 Project Location

The project is found between Lake Assal and Lake Ghoubet (1 km West of the lake) in the Arta region of the Republic of Djibouti. Its central geo coordinates are 11°31'58"N - 42°29'53"E –Fig.1 describes the site location of the project and table 2 identified the coordinates of wind turbines.



**Table 1. Wind turbine coordinates.**

| COORDINATES OF WIND TURBINES<br>COORDINATE SYSTEM |              |              |
|---------------------------------------------------|--------------|--------------|
| WTG                                               | COORDINATE X | COORDINATE Y |
| WT 01                                             | 11°31'24"    | 42°30'55"    |
| WT 02                                             | 11°31'12"    | 42°30'50"    |
| WT 03                                             | 11°31'00"    | 42°30'45"    |
| WT 04                                             | 11°31'34"    | 42°30'36"    |
| WT 05                                             | 11°31'16"    | 42°30'25"    |
| WT 06                                             | 11°31'53"    | 42°30'28"    |
| WT 07                                             | 11°31'34"    | 42°30'16"    |
| WT 08                                             | 11°31'53"    | 42°30'07"    |
| WT 09                                             | 11°31'40"    | 42°29'55"    |
| WT 10                                             | 11°32'06"    | 42°29'53"    |
| WT 11                                             | 11°31'54"    | 42°29'45"    |
| WT 12                                             | 11°32'23"    | 42°29'27"    |
| WT 13                                             | 11°32'08"    | 42°29'31"    |
| WT 14                                             | 11°31'54"    | 42°29'19"    |
| WT 15                                             | 11°32'22"    | 42°29'07"    |
| WT 16                                             | 11°32'09"    | 42°29'06"    |
| WT 17                                             | 11°32'36"    | 42°29'02"    |

## 1.14 Conditions Prior to Project Initiation

Djibouti's electricity is primarily generated by conventional thermal power stations in the country. However, with no proven reserves of oil or natural gas and no known coal reserves, electricity being produced is dependent on imported oil and therefore susceptible to price fluctuations. Djibouti also imports hydroelectric energy from Ethiopia via a high-voltage interconnection that has been in operation since 2012. The interconnection provides a cost-effective supply of electricity throughout the year. However, power imports are not guaranteed because Ethiopia regularly curtails supply, particularly during its dry season (September to February). During the rainy season (June to August), failures of the Ethiopian transport network often led to unplanned interruptions. With national energy demand increasing between 3-5% annually, the country needs to develop new, more sustainable methods of energy production. Djibouti aims to be sovereign and decrease its dependence on Ethiopia, this is highly strategic for Djibouti.

## 1.15 Compliance with Laws, Statutes and Other Regulatory Frameworks

To date, there are no regulations and policies preventing the implementation of the project activity, which follows all and any relevant local, regional, and national laws, statutes, and regulatory frameworks:

Décret n°2009-0218/PR/MERN Establishing the national Energy. This decree sets up the National Energy Commission, whose mission is to ensure the coordination of energy projects, and more generally to undertake studies of all the measures contributing to a better coordination of the country's energy development.

This Commission handles intervening in the strategic areas of energy development in the Republic of Djibouti including studies, prospecting, research, exploration, exploitation and commercial.

Such a plant, like other renewable energy power plants planned, will partly solve the problem of energy, and achieve the goals of a 100% electricity production from renewable energies goal by 2035.

In Djibouti, the procedure for evaluating impact assessments is governed by Djiboutian Government Law n°51/AN/09/6ème L bearing the code of the environment proving the basic rules and fundamental principles of national policy in the field of environmental protection and management.

## 1.16 Double Counting and Participation under Other GHG Programs

### 1.16.1 No Double Issuance

Is the project receiving or seeking credit for reductions and removals from a project activity under another GHG program?

☐ Yes ☒ No

*If yes, provide required evidence of no double issuance as outlined by the VCS Standard.*

### 1.16.2 Registration in Other GHG Programs

Has the project registered under any other GHG programs?

☐ Yes ☒ No

*If yes, provide the registration number and the date of project inactivity under the other GHG program.*

Is the project active under the other program?

☐ Yes ☒ No

*Project proponents, or their authorized representative, must attest that the project is no longer active in the other GHG program in the Registration Representation.*

### 1.16.3 Projects Rejected by Other GHG Programs

Has the project been rejected by any other GHG programs?

☐ Yes ☒ No

*If yes, provide the program name(s), reason(s) and date for the rejection, justification of eligibility under the VCS Program, and any other relevant information.*

## 1.17 Double Claiming, Other Forms of Credit, and Scope 3 Emissions

### 1.17.1 No Double Claiming with Emissions Trading Programs or Binding Emission Limits

Are project reductions and removals or project activities also included in an emissions trading program or binding emission limit? See the *VCS Program Definitions* for definitions of emissions trading program and binding emission limit.

☐ Yes ☒ No

*If yes, provide all required evidence of no double claiming as outlined by the VCS Standard.*

### 1.17.2 No Double Claiming with Other Forms of Environmental Credit

Has the project activity sought, received, or is planning to receive credit from another GHG-related environmental credit system? See the *VCS Program Definitions* for definition of GHG-related environmental credit system.

☐ Yes ☒ No

*If yes, provide all required evidence of no double claiming as outlined by the VCS Standard.*

### 1.17.3 Supply Chain (Scope 3) Emissions

Do the project activities specified in Section 1.12 affect the emissions footprint of any product(s) (goods or services) that are part of a supply chain?

☐ Yes ☒ No

*If yes:*

Is the project proponent(s) or authorized representative a buyer or seller of the product(s) (goods or services) that are part of a supply chain?

☐ Yes ☒ No

*If yes:*

Has the project proponent(s) or authorized representative posted a public statement on their website saying, "Carbon credits may be issued through Verified Carbon Standard project [project ID] for the greenhouse gas emission reductions or removals associated with [project proponent or authorized representative organization name(s)] [name of product(s) whose emissions footprint is changed by the project activities]."

☐ Yes☒ No

*If yes to all:*

*Provide evidence of the public statement. Evidence must be provided in this section or in an appendix.*

## 1.18 Sustainable Development Contributions

### 1.18.1 Sustainable Development Contributions Activity Description

Besides emission reductions and fuel cost savings, economic and social benefits of this wind power project to the local population include around 403 jobs created during construction, of which 12 permanent positions<sup>3</sup> (local technicians, finance, and administration) for the operation and maintenance of the plant. (SDG 8).

Sustainable development, supported by the social, economic, and environmental pillars, is the foundation of the National Energy Policy. In practice, (renewable) energy generation contributes to the improvement of the lives and livelihoods of Djiboutian's people, besides the nationally stated goal of a 100% electricity production from renewable energies by 2035. (SDG 7)

Energy also supports the industrialisation of Djibouti and promotes local content and local participation to satisfy the Policy's economic requirements.

Within Red Sea, a gender action plan has been implemented, using a conformance checklist for Women's Empowerment Principle. The actions identified as needed to address the specific challenges faced by women in the Project Area of Interest and for mainstreaming gender in all aspects of the Project's activities are presented as a Gender Action Plan (GAP). These plans are contributing to SDG 5. Achieve gender equality and empower all women and girls, especially in targets 5.1 End all forms of discrimination against all women and girls everywhere; and 5.5 Ensure women's full and effective participation and equal opportunities for leadership at all levels of decision-making in political, economic, and public life.

Fresh water resources in the Lac Assal District of Djibouti are scarce. The earlier supply of potable water is trucked to the Lac Assal and Moumina villages regularly by the government and stored in purpose-built structures. Red Sea Power invests in a project that provides a reliable potable water supply to the Lac Assal and Moumina villages through water abstraction from Ghoubet Lac, desalination plant, and distribution via a pipeline<sup>4</sup>. This desalination plant is contributing to SDG 6. Clean Water and Sanitation, specially target 6.1. By 2030, achieve universal and fair access to safe and affordable drinking water for all and 6.a. By 2030, expand international cooperation and capacity-building support to developing countries in water- and sanitation-related activities and programmes, including water harvesting,

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<sup>3</sup> As per Allianz EHP Membership Census Form 3

<sup>4</sup> <https://water-solutions.co.za/projects/>

desalination, water efficiency, wastewater treatment, recycling, and reuse technologies. Project will abstract approximately 160 m<sup>3</sup> of water per day from Lac Ghoubet during operational lifetime (20 years).<sup>5</sup> (nominal capacity of 7 m<sup>3</sup>/h)

Renewable energy generation implies emission reductions within the country (SDG 13), since the energy produced by the project would be otherwise produced with non-renewable sources.

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<sup>5</sup> According to Environmental & Social Impact Assessment of Ghoubet Solar Desalination Plant and Distribution Pipeline.



### 1.18.2 Sustainable Development Contributions Activity Monitoring

During the monitoring period, plant started its operations contributing to avoiding sex discrimination by implementing the Gender Action Plan, contributing to SDG 5.

Furthermore, water desalination plant has been built, and it is providing desalinated water to several communities within the area, providing water distributed in community of (Lac Assal and moumina) since the starts of its operation from July 2023 – December 2024 with amount of 10,076 (m<sup>3</sup>) with monthly average 62,975(m<sup>3</sup>), contributing to SDG 6.

Renewable energy generation is the main goal of this project, contributing to SDG 7 and 13 at the same time by producing a total of 286,045 MWh that are avoiding the emission of 135,927 tonnes of CO<sub>2</sub> to the atmosphere.



Table 2: Sustainable Development Contributions

| Row number | SDG target | SDG indicator                                                                                                                          | Net impact on SDG indicator        | Current project contributions                                                                                                                                                                                                                                                                                                                                                                            | Contributions over project lifetime                                                                                      |
|------------|------------|----------------------------------------------------------------------------------------------------------------------------------------|------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------|
| 1)         | 5.1        | 5.1.1 Whether or not legal frameworks are in place to promote, enforce and monitor equality and non-discrimination on the basis of sex | Implemented activities to increase | The Women Empowerment Compliance Checklist provides a checklist arising from Women's Empowerment Principles (WEP) to help project proponent to conduct an annual WEP assessment. During the assessment conducted by RSP on February 27 <sup>th</sup> , 2024 <sup>6</sup> the 22 items/principles included were evaluated and 15 were found in Fully Compliance (FC) and 7, in Partially Compliance (PC). | The indicators of the Women Empowerment Compliance Checklist will be 100% in Fully Compliance over the crediting period. |

<sup>6</sup> Women Empowerment Compliance Checklist

|    |     |                                                                     |                                    |                                                                                                                                                                                                                                      |                                                                                                                      |
|----|-----|---------------------------------------------------------------------|------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------|
| 2) | 6.a | Amount of desalinated water provided by the project                 | Implemented activities to increase | Red Sea Power created a desalination plant that distributed to the community of Lac Assal and moumina an amount of 10,076 m <sup>3</sup> desalinated water during the monitoring period. (Around 3,4 m <sup>3</sup> /h) <sup>7</sup> | The project will contribute with 89,880 m <sup>3</sup> of desalinated water over the crediting period <sup>8</sup> . |
| 3) | 7.  | 7.2.1 Renewable energy share in the total final energy consumption. | Implemented activities to increase | Project has generated 286,045 MWh during the monitoring period from 01 June 2023 till 31 December 2024.                                                                                                                              | According to initial feasibility study, project will generate 2,353,060 MWh during the crediting period.             |
| 4) | 8.  | 8.5.2<br>Number of employees                                        | Implemented activities to increase | The project activity results in temporary and permanent employment opportunity during the construction and operation phase.<br><br>Creating permanent employment opportunities for 12 people                                         | Creating permanent employment opportunities for 12 people                                                            |

<sup>7</sup> According to water reports from Impact Water Solutions (IWS).

<sup>8</sup> Considering the nominal capacity of the desalination plant (7 m<sup>3</sup>/h) and 107 hours of operation per month.

|    |      |                                                       |                                    |                                                                                                                                                           |                                                                                                                                                                                                  |
|----|------|-------------------------------------------------------|------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 5) | 13.0 | Tonnes of greenhouse gas emissions avoided or removed | Implemented activities increase to | By producing 286,045 MWh, Project Red Sea has prevented the release of 135,927 tonnes of CO <sub>2</sub> into the atmosphere during the monitoring period | According to the initial feasibility studies, it was expected that the project would prevent the release of 1,118,169 tonnes of CO <sub>2</sub> into the atmosphere during the crediting period. |
|----|------|-------------------------------------------------------|------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

## 1.19 Additional Information Relevant to the Project

### Leakage Management

Not applicable since the project does not generate any leakage.

### Commercially Sensitive Information

There is no information deemed as commercially sensitive for this project activity.

### Further Information

The project participants obtained all necessary clearances and licenses; hence no legislative, economic, sectoral, social, environmental, geographic, site-specific risks are anticipated which may have impact on the eligibility of the project activity and the net GHG emission reductions.

# 2 SAFEGUARDS AND STAKEHOLDER ENGAGEMENT

## 2.1 Stakeholder Engagement and Consultation

### 2.1.1 Stakeholder Identification

|                                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
|-----------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Stakeholder Identification</b> | <p>Project Stakeholders can be divided into Project affected parties (PAPs) and Other Interested Parties (OIPs).</p> <ul style="list-style-type: none"> <li>PAPs include people, groups, and other entities within the Project Area of Interest (Aol) that are directly influenced (actually or potentially, positively, or adversely) by the Project and/or have been identified as most susceptible to change associated with the Project. They should be actively engaged in identifying impacts and their significance, as well as in decision-making on mitigation and management measures.</li> <li>OIPs include individuals/groups/entities that may not experience direct impacts from the Project but who consider or perceive their interests as being affected by the Project and/or who could affect the Project and the process of its implementation in some way. This SEP outlines the needs and expectations for engagement of these stakeholders</li> </ul> |
|-----------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

|                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
|-------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                       | <p>with appropriate methods developed to meet these needs and interests and ensures that their views and concerns are addressed in a suitable manner.</p> <p>RSP (Red Sea Power) has adopted an iterative approach to stakeholder identification and engagement that follows the overall objectives and approach presented in Figure 7.1 of Red Sea Power Project STAKEHOLDER ENGAGEMENT PLAN. Steps are: Identify, understand, inform, relationship, trust, engage, manage and compliance.</p> <p>Based on the above approach, the Project has identified a diverse range of stakeholders during the ESIA process. These include, but are not limited to, representatives of National Government Stakeholders, Local / District Authority Stakeholders, Community Stakeholders / Traditional leaders, NGOs, Associations and Other Organizations and Individuals</p> <p>Accordingly, the local stakeholder consultation meetings were completed as a part of ESIA studies for the project.</p>                         |
| <p><b>Legal or customary tenure/access rights</b></p> | <p>There are some stakeholders who use land with no legal binding:</p> <ul style="list-style-type: none"> <li>• non-registered land users or those who use land on the basis of traditional non-legal claims.</li> <li>• traditional nomadic families migrating to remote areas needing tailored channels of communication.</li> <li>• traditional leaders of the communities using the lands and natural resources in the Project locality <sup>9</sup></li> </ul> <p>Ministry of Energy in charge of Natural Resources, has signed a concession agreement (implementation agreement) with the land lease, under which the parties to said concession agreement agreed that the Lessee would be responsible for the development, design, and financing of the construction of a Wind Power Plant (as defined below) in Djibouti, with a total capacity of fifty-nine (59) MW.</p> <p>In accordance with decree No. 2018-189/PR/MB dated December 20, 2018, allocated a 395-hectare plot of land located in Ghoubet</p> |

<sup>9</sup> Red Sea Power Project STAKEHOLDER ENGAGEMENT PLAN

|                                                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|----------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                    | <p>to the Ministry of Energy in charge of Natural Resources for the implementation of a renewable energy project</p> <p>The land lease was established for the purpose of developing, designing, and financing the Wind Power Plant and its auxiliary facilities for a period of twenty-five (25) years from the Commercial Operation Date of the Wind Power Plant.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| <b>Stakeholder diversity and changes over time</b> | No changes in stakeholders over time.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| <b>Expected changes in well-being</b>              | <p>The project entails the development and operation of a new 59 MW wind power facility located near Lake Ghoubet in Djibouti. It includes the installation of wind turbines designed to generate electricity, which will be supplied to the national grid via Electricité de Djibouti (EDD). Over its 20-year operational lifespan, the plant is expected to generate approximately 235 GWh per year and reduce 111,817 tCO<sub>2</sub>e of emission reductions per year</p> <p>Additionally, a desalination plant has been installed to supply clean water to the local population, and the project has contributed to the creation of 12 permanent jobs in the area.</p> <p>Further, there are no protected areas or habitats of particular biodiversity value within the project area of influence. The sensitivity of all other terrestrial biodiversity resources (except birds and bats) within Project Area of Interest (Aoi) is assessed through the baseline studies as being low. This is because the habitats and majority of species present on site are common and widespread across Djibouti.</p> |
| <b>Location of stakeholders</b>                    | Lac Assal and Cire Mounima and other places close to the Area of Interest.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| <b>Location of resources</b>                       | The area of interest.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |

## 2.1.2 Stakeholder Consultation and Ongoing Communication

The Local Stakeholder consultation was commenced as part of ESIA study in February 2018. During the scoping visit, a formal meeting was held with Electricité de Djibouti (EDD). Further stakeholder engagement meetings were then held in February 2018 to present the findings of the Scoping Report to the Ministry of Agriculture and Ministry of Habitat, Urban Planning, Environment and Town Planning (MHUE).

Meetings were also organised with customary authorities and community members from Cité Moumina, Lac Assal and Layta. These meetings, along with household surveys and focus group discussions and key informant interviews, were arranged to introduce the project and obtain baseline data. At all of the meetings, details of the Project were presented, and stakeholders were invited to ask questions and comment on the potential effects of the Project on the receiving environment, including the potential benefits of the Project to the local communities. The following meetings were held with stakeholder, during the ESIA process from February to December 2018:

| Date                                                   | Stakeholder                                                               | Participants |        |       |
|--------------------------------------------------------|---------------------------------------------------------------------------|--------------|--------|-------|
|                                                        |                                                                           | Male         | Female | Total |
| Government meetings                                    |                                                                           |              |        |       |
| 12 December 2018<br>17-19 February 2018<br>03 May 2018 | Electricité de Djibouti (EDD)                                             | 1            |        | 1     |
| 11 February 2018                                       | Ministry of Agriculture                                                   | 1            |        | 1     |
| 26 February 2018                                       | Ministry of Habitat, Urban Planning, Environment and Town Planning (MHUE) | 1            |        | 1     |
| 02 May 2018                                            | Environment and Sustainable Development Directorate (part of MHUE)        | 2            |        | 2     |
|                                                        | Total                                                                     | 5            |        | 5     |
| Local level meetings                                   |                                                                           |              |        |       |
| 08 February 2018                                       | Arta Prefecture, meeting with Prefect                                     | 1            |        | 1     |
| 10 February 2018                                       | Cité Moumina, Focus Group discussion with customary authorities           | 2            |        | 2     |
| 10 February 2018                                       | Karta authority                                                           | 1            |        | 1     |
| 11 February 2018                                       | Tadjourah Prefecture, meeting with Prefect                                | 1            |        | 1     |

|                      |                                                                                                                                                                                                                                                                               |           |          |           |
|----------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------|----------|-----------|
| 14 February 2018     | Public consultation in Lac Assal village. Attendees included: Sub-prefect and Village Chief of Lac Assal, members of local associations (including the Women's and Youth associations.                                                                                        | 11        | 2        | 13        |
| 17 February 2018     | Meeting with Okal, customary authority                                                                                                                                                                                                                                        | 1         |          | 1         |
| 17 February 2018     | Public consultation in Cité Moumina community. Attendees included customary authorities and village elders.                                                                                                                                                                   | 6         |          | 6         |
| 19 February 2018     | Focus group discussion, Cité Moumina / Lac Assal Women's Association                                                                                                                                                                                                          |           | 2        | 2         |
| 18-19 February 2018  | Interviews with key individuals and groups (such as livestock breeders, fishermen) during the social baseline engagement.                                                                                                                                                     | 7         |          | 7         |
| 15 -19 February 2018 | Household surveys were completed with 40 households in the Project area during the social baseline engagement.                                                                                                                                                                |           |          | 40        |
| 03 May 2018          | Public consultation in Lac Assal's Community Building. Attendees included: Sub-prefect and Chief of Lac Assal, Lac Assal Women's Association, Okal General, Imam of Cité Moumina Mosque, Makaban (customary authorities representing the Debné tribes) and community members. | 14        | 2        | 16        |
| <b>Total</b>         |                                                                                                                                                                                                                                                                               | <b>44</b> | <b>6</b> | <b>90</b> |
| <b>Grand Total</b>   |                                                                                                                                                                                                                                                                               | <b>49</b> | <b>6</b> | <b>95</b> |

#### List of Persons Met during the assignment

| N. | Phase                    | Place     | Name                       | Organization               | Function                | Telephone            |
|----|--------------------------|-----------|----------------------------|----------------------------|-------------------------|----------------------|
| 1  | Scoping                  | Djibouti  | Osaruyi Orobosa-Ogbeide    | Africa Finance Corporation | AVP Project Development |                      |
| 2  | Scoping                  | Djibouti  | Aden Ougoureh Aden         | EDD                        | Legal department        | 77706652             |
| 3  | Scoping                  | Djibouti  | Awalé Moussa               | EDD                        | Project lead Windfarm   | 77884148             |
| 4  | Scoping                  | Djibouti  | Ali Mohamed                | EDD                        | Engineer                | 77829982             |
| 5  | Meeting with Institution | Arta      | Abdillahi Darar Okie       | Arta Prefecture            | Prefect                 | 77017271<br>27422117 |
| 6  | Meeting with Institution | Tadjourah | Abdoulmalik Mohamed Benoit | Tadjourah Prefecture       | Prefect                 | 77830808<br>27424145 |
| 7  | Meeting with Institution | Tadjourah | Bara Goita Said            | Ministry of Agriculture    | Director                | 77810488             |



|    |                                                           |              |                            |                            |                                  |          |
|----|-----------------------------------------------------------|--------------|----------------------------|----------------------------|----------------------------------|----------|
| 8  | Individual interview                                      | Cité Mimouna | Abdallah Mamadou Habdallah | Customary authority        | Okal general                     |          |
| 9  | Public consultation                                       | Lac Assal    | Mohamed Ahmed Oudoum       | Lac Assal Sub-Prefecture   | Sub-prefect                      | 77873557 |
| 10 | Public consultation                                       | Lac Assal    | Mohamed Guellé Aubaker     | Lac Assal authority        | Village chief                    | 77826445 |
| 11 | Public consultation                                       | Lac Assal    | Moussa Mohamed Abdallah    | Lac Assal authority        | Assistant village chief          | 77705016 |
| 12 | Public consultation                                       | Lac Assal    | Goundouss Moussa           | Association "Diffu"        | President                        | 77607609 |
| 13 | Public consultation                                       | Lac Assal    | Ahmed Houmed Hamad         | Ghoubet Association        | Treasurer                        | 77810707 |
| 14 | Public consultation                                       | Lac Assal    | Mohamed Aubaker            | Ghoubet Association        | Vice-President                   |          |
| 15 | Public consultation                                       | Lac Assal    | Fatouma Youssouf Moleh     | Ghoubet Womens association | President                        | 77826445 |
| 16 | Public consultation                                       | Lac Assal    | Gounati Ali Ibrahim        | Ghoubet Womens association | Secretary general                | 77826445 |
| 17 | Public consultation                                       | Lac Assal    | Mohamed Ali Gobar          | Youth association          | Member                           | 77172654 |
| 18 | Public consultation                                       | Lac Assal    | Ibrahim Houmed Aras        | Lac Assal authority        | Elder                            |          |
| 19 | Public consultation                                       | Lac Assal    | Gadite Mohamed Gadite      | Youth association          | Member                           | 77768245 |
| 20 | Public consultation                                       | Lac Assal    | Ahmed Aras Hassan          | Youth association          | Member                           |          |
| 21 | Public consultation                                       | Lac Assal    | Houmed Ali Hamadou         | Youth association          | Member                           | 77780709 |
| 22 | Public consultation, focus group and individual interview | Cité Moumina | Houmed Moussa Aras         | Cité Moumina authority     | Makaban (Hayssamaleh)            | 77748689 |
| 23 | Public consultation and focus group                       | Cité Moumina | Mohamed Aloyta Gadito      | Cité Moumina authority     | Elder, representing Okal General | 77842349 |
| 24 | Public consultation and focus group                       | Cité Moumina | Mohamed Moussa Goundous    | Cité Moumina authority     | Makaban (Mirganto)               | 77848521 |
| 25 | Public consultation                                       | Cité Moumina | Ali Houmed Malisso         | Cité Moumina authority     | Elder                            | 77052099 |
| 26 | Public consultation                                       | Cité Moumina | Hamadou Mohamed Ali        | Cité Moumina authority     | Makaban (Fadihiteh)              | 77832758 |
| 27 | Public consultation                                       | Cité Moumina | Houmed Hassan Ali          | Cité Moumina               | Resident                         | 77043217 |
| 28 | Focus group                                               | Cité Moumina | Mohamed Ali Mahamed        | Cité Moumina authority     | Elder (Fadihiteh)                |          |

|    |                      |                   |                           |                                               |                        |          |
|----|----------------------|-------------------|---------------------------|-----------------------------------------------|------------------------|----------|
| 29 | Focus group          | Cité Moumina      | Ali Houmed Mahisso        | Cité Moumina authority                        | Makaban (tribe Adhali) |          |
| 30 | Focus group          | Cité Moumina      | Aïcha Gohar Houmed        | Cité Momina/Lac Assal Womens' association     | Steering committee     |          |
| 31 | Focus group          | Cité Moumina      | Assia Birigo Ali          | Cité Momina/Lac Assal Womens' association     | Steering committee     |          |
| 32 | Individual interview | Karta             | Cheiko Aras               | Karta authority                               | Okal                   |          |
| 33 | Individual interview | Karta             | Mohamed Hamadou Ragueh    |                                               | Livestock breeder      |          |
| 34 | Individual interview | Lac Assal         | Walleh Moussa Goundous    |                                               | Fisherman              | 77607609 |
| 35 | Individual interview | Cité Moumina      | Ali Hamadou Borito        |                                               | Livestock breeder      | 77767049 |
| 36 | Individual interview | Cité Moumina      | Hamadou Gohar Houmed      | Village organization and management committee | Member (Oumarto)       | 77055283 |
| 37 | Individual interview | Oued Hemed        | Alassane Mohamed Ali      |                                               | Sells fire-wood        |          |
| 38 | Individual interview | Ghoubbet beach    | Houssein Said             | Tourist resort                                | Manager                | 77728421 |
| 39 | Individual interview | Koussour Koussour | Mahamed Youssouf Hamadou  | Isolated camp                                 | Livestock breeder      |          |
| 40 | Household survey     | Cité Moumina      | Abdallah Ibrahim Abdallah |                                               | Resident               | 77376847 |
| 41 | Household survey     | Cité Moumina      | Ali Gadito Aloyta         |                                               | Resident               | 77128381 |
| 42 | Household survey     | Cité Moumina      | Ali Hamadou Borito        |                                               | Resident               | 77767049 |
| 43 | Household survey     | Cité Moumina      | Ali Houmd Moussa          |                                               | Resident               | 77664976 |
| 44 | Household survey     | Cité Moumina      | Ali Mohamed Ali           |                                               | Resident               | 77187735 |
| 45 | Household survey     | Cité Moumina      | Ali Moussa Ali            |                                               | Resident               | 77379103 |
| 46 | Household survey     | Lac Assal         | Ali Moussa Hamad          |                                               | Resident               | 77752595 |
| 47 | Household survey     | Cité Moumina      | Ali Moussa Hamadou        |                                               | Resident               | 77301461 |
| 48 | Household survey     | Cité Moumina      | Ali Oudoum Abaideh        |                                               | Resident               | 77017772 |
| 49 | Household survey     | Cité Moumina      | Arass Ali Isseh           |                                               | Resident               | 77716167 |

|    |                  |              |                         |  |          |          |
|----|------------------|--------------|-------------------------|--|----------|----------|
| 50 | Household survey | Cité Moumina | Doro Sanalasseh Oudoume |  | Resident | 77679963 |
| 51 | Household survey | Lac Assal    | Goumhati Ali Ibrahim    |  | Resident | 77888751 |
| 52 | Household survey | Cité Moumina | Hamad Ali Mohamed       |  | Resident | 77601396 |
| 53 | Household survey | Cité Moumina | Hamadou Borito Hamadou  |  | Resident | 77615493 |
| 54 | Household survey | Cité Moumina | Hamadou Cheko Abdallah  |  | Resident |          |
| 55 | Household survey | Cité Moumina | Hamadou Gohar Houmed    |  | Resident | 77055283 |
| 56 | Household survey | Cité Moumina | Hasna Ali Isseh         |  | Resident | 77663755 |
| 57 | Household survey | Cité Moumina | Hassan Isse Ahmed       |  | Resident | 77602582 |
| 58 | Household survey | Lac Assal    | Hawa Adou Hamad         |  | Resident |          |
| 59 | Household survey | Lac Assal    | Hemeda Oudoum Guadito   |  | Resident |          |
| 60 | Household survey | Cité Moumina | Houmed Hassa Ali        |  | Resident | 77043217 |
| 61 | Household survey | Cité Moumina | Houmed Ibrahim Abdallah |  | Resident |          |
| 62 | Household survey | Cité Moumina | Houssein Houmed Ibrahim |  | Resident | 77682605 |
| 63 | Household survey | Cité Moumina | Issa Moussa Hamad       |  | Resident | 77632682 |
| 64 | Household survey | Cité Moumina | Isse Ali Isse           |  | Resident |          |
| 65 | Household survey | Cité Moumina | Mohamad Ali Gohar       |  | Resident | 77172654 |
| 66 | Household survey | Cité Moumina | Mohamed Ali Mohamed     |  | Resident | 77887625 |
| 67 | Household survey | Cité Moumina | Mohamed Ali Moussa      |  | Resident |          |
| 68 | Household survey | Cité Moumina | Mohamed Ali Ragueh      |  | Resident | 77128089 |
| 69 | Household survey | Cité Moumina | Mohamed Gadito Aloyta   |  | Resident | 77842349 |
| 70 | Household survey | Cité Moumina | Mohamed Gohar Hamadou   |  | Resident | 77675863 |
| 71 | Household survey | Cité Moumina | Mohamed Hassan Kabir    |  | Resident | 77701948 |
| 72 | Household survey | Cité Moumina | Mohamed Houmed Moussa   |  | Resident | 77748713 |
| 73 | Household survey | Cité Moumina | Momina Houmed Mohamed   |  | Resident | 77159923 |

|    |                  |              |                          |  |          |          |
|----|------------------|--------------|--------------------------|--|----------|----------|
| 74 | Household survey | Lac Assal    | Moussa Goundouss Moussa  |  | Resident | 27533437 |
| 75 | Household survey | Cité Moumina | Moussa Assanleh Ali      |  | Resident | 77680048 |
| 76 | Household survey | Lac Assal    | Sanalasse Hamad Hamadou  |  | Resident | 77054979 |
| 77 | Household survey | Lac Assal    | Silalo Mohamed Aboubaker |  | Resident | 77615374 |
| 78 | Household survey | Cité Moumina | Sitani Hamadou Hamad     |  | Resident | 77343097 |
| 79 | Household survey | Lac Assal    | Walleh Moussa Goundouss  |  | Resident | 77607609 |

**Figure 2. Stakeholder Engagement Meetings Held.**

|                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
|-----------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Date of stakeholder consultation</b> | 10 February 2018 – 12 December 2018                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| <b>Stakeholder engagement process</b>   | RSP is committed to engaging with its stakeholders in a culturally appropriate manner and in a language that they understand. A variety of communication methods have therefore been selected for Project engagement activities, based on the level and objective of the engagement, as well as the target group, as shown in Table 7.1. of the Red Sea Power Project STAKEHOLDER ENGAGEMENT PLAN (SEP). Further modes of engagement may be introduced if identified as required during subsequent stages of the Project. Table 7.2 of the same document shows Methods, Tools, and Techniques for Stakeholder Engagement. |
| <b>Consultation outcome</b>             | During the public consultation meetings discussions with stakeholders included: <ul style="list-style-type: none"> <li>• presentations of the Project; and</li> <li>• discussions on the potential impacts of the Project, on the proposed solutions to minimise negative impacts and maximise positive benefits, and on the overall expectations regarding the project.</li> </ul>                                                                                                                                                                                                                                       |
| <b>Ongoing communication</b>            | An effective grievance mechanism allows stakeholders to lodge complaints and/or concerns at no cost, without retribution and with the assurance of a timely response. The process will include the following steps: <ul style="list-style-type: none"> <li>• Identification.</li> <li>• Review and record the grievance.</li> </ul>                                                                                                                                                                                                                                                                                       |

|                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|-------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                   | <ul style="list-style-type: none"> <li>• Acknowledgement.</li> <li>• Develop a response.</li> <li>• Communicate response and establish agreement; and</li> <li>• Close-out process.</li> </ul> <p>A detailed description of the grievance mechanism required for the Project is provided in the SEP.</p> <p>Stakeholders can submit grievances or comments regarding the Project to the Community Liaison Officer or through local community leaders. Prior to construction, an office was established at the site to improve accessibility of the grievance process.</p> <p>RSPWF maintains ongoing communications with the Stakeholders following the provisions of the Stakeholder Engagement Plan.</p> <p>After project implementation and before starting project validation/verification, in person meetings were held with communities of Momina and Assal, in January 2024, March 2024, June 2024 and January 2025. The purpose of the meetings was to update the communities about project implementation status and to follow up about communities' needs and Water supply plan implementation.</p> <p>Stakeholders concerns and questions were mainly oriented to the water supply project implementation, and all of them were answered and addressed by RSPWF.</p> |
| Stakeholder input | <p>According to Grievance tracking at the database, all inputs during construction were addressed<sup>10</sup>.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |

### 2.1.3 Free Prior and Informed Consent

|                   |                                                                                                                                                                                                                   |
|-------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Obtaining consent | <p>An effective SEP was executed, Effective Stakeholder Engagement requires an integrated approach between the Company, Contractors (and any subcontractors) and regulatory authorities, amongst others. This</p> |
|-------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

<sup>10</sup> GWP Stakeholder Database\_Sept 2020.xlsx

|                 |                                                                                                                                                                                                                                                                                                                                                                                                            |
|-----------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                 | requires robust processes to be in place regarding information dissemination, training, designation of responsibility, management actions, monitoring, control, and corrective actions. Ownership of and ultimate responsibility for this document lies with RSP, but much of its daily implementation will be managed by the EPC contractor during construction and the O&M contractor during operations. |
| Outcome of FPIC | RSP made consultation with parties throughout different meetings, as it is explained above. Stakeholders expressed their willingness to collaborate for the project success.                                                                                                                                                                                                                               |

#### 2.1.4 Grievance Redress Procedure

|                             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
|-----------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Development process         | <p>An effective grievance mechanism allows stakeholders to lodge complaints and/or concerns at no cost, without retribution and with the assurance of a timely response. The process will include the following steps:</p> <ul style="list-style-type: none"> <li>• Identification.</li> <li>• Review and record the grievance.</li> <li>• Acknowledgement.</li> <li>• Develop a response.</li> <li>• Communicate response and establish agreement; and</li> <li>• Close-out process.</li> </ul> <p>A detailed description of the grievance mechanism required for the Project is provided in the SEP.</p> |
| Grievance redress procedure | <p>Stakeholders can submit grievances or comments regarding the Project to the Community Liaison Officer or through local community leaders. Prior to construction, an office was established at the site to improve accessibility of the grievance process.</p> <p>The Grievance Mechanism serves to:</p>                                                                                                                                                                                                                                                                                                 |

- Minimize any adverse impacts of the Project on external stakeholders, via the prompt and mutually acceptable resolution of grievances.
- Identify emerging adverse trends in terms of incidents/impacts at an early stage so that measures to prevent/avoid their occurrence can be implemented quickly and proactively.
- Demonstrate the Project's respect for the interests of external stakeholders.

The key principles of the grievance management process are that:

- Any person, group or organization can submit a grievance at any time, without fear of retribution and at no financial cost.
- All grievances will be taken seriously and will be treated in a fair and respectful manner. The Company will respond to the complainant to confirm receipt of the grievance within seven working days.
- The process by which grievances will be received, investigated, and resolved will be consistent and transparent. Representatives of contractors may be involved in the investigation where applicable.
- Information relating to grievance investigations and eventual decisions will be documented.
- Complainants will have recourse to an internal Project appeal mechanism if the complainant rejects the (first) decision.
- Personal information about the affected stakeholders will be treated as confidential.
- The mechanism will not impede access to judicial or administrative remedies.

The Grievance Mechanism consists of 6 main stages namely:

- Stage 1: Grievance communication and logging (registration)
- Stage 2: Acceptance of grievance for investigation

|  |                                                                                                                                                                                          |
|--|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|  | <ul style="list-style-type: none"> <li>• Stage 3: Notification</li> <li>• Stage 4: Investigation</li> <li>• Stage 5: Resolution</li> <li>• Stage 6: Monitoring and evaluation</li> </ul> |
|--|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

| Grievances received                                    | Resolution and outcome |
|--------------------------------------------------------|------------------------|
| No grievances were raised during the monitoring period | N/A                    |

### 2.1.5 Public Comments

The period for public comments was from 13 January 2025 to 12 February 2025, and during it no comments were received. Also, no comments were received after that period,

## 2.2 Risks to Stakeholders and the Environment

### 2.2.1 Management Experience

Stakeholder Engagement Plan (SEP) will be managed and controlled in line with the Red Sea Power Ltd. (RSP) Document Control Processes, which is available in the HSSE-Management Systems Framework Document.

Red Sea Power Ltd. has expertise in implementing renewable energy projects and engaging with local communities. Moreover, its employees are well trained and prepared to operate the plant in a secure and safely manner; they periodically participate in training courses given by specialized organizations as “Global Wind Association”.

In addition, the Red Sea Power partners had built a solar-powered desalination plant. The plant provides drinking water to villages near the farm. Some parts of Djibouti are currently experiencing a major national water crisis, with 20% of rural areas lacking access to clean water. This facility supplies approximately 800 residents with around 40 Liters of water per day, addressing water scarcity issues and reducing the risk of water-borne diseases.



Red Sea Power Ltd. is actively involved in biodiversity conservation through monitoring migratory and resident bird populations, including endangered species like the Egyptian vulture (*Neophron percnopterus*), to assess and mitigate the impact of the wind farm on local wildlife<sup>11</sup>.

## 2.2.2 Risk Assessment

|                                                            | Risks identified                                                             | Mitigation or preventative measure taken                                                                                                                                                                                                                                                                                                                                                                      |
|------------------------------------------------------------|------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Natural and human-induced risks to stakeholders' wellbeing | Activities will have a direct impact on local community safety and security. | The Security Management Plan will remain in place for operation as well as the Traffic Management Plan. A Community Liaison Officer (CLO) will also be present to engage with local communities. A community development plan will also be in place to support local community development priorities. With these measures in place, impact significance is predicted to be Not Significant during operation. |
| Risks to stakeholder participation                         | Risks to nearby communities                                                  | During ESIA Process, key stakeholders, including interested and affected parties, were identified, and provided with an opportunity to raise any comments, concerns /and/or queries that they may have on the proposed project.<br>The Stakeholder Engagement Plan recognizes that stakeholder engagement is fundamental to good                                                                              |

<sup>11</sup> [https://www.fmo.nl/news-detail/438cc35f-3075-4c21-a058-8899fc24564f/djibouti-inaugurates-red-sea-power-country-s-first-wind-farm?utm\\_source=chatgpt.com](https://www.fmo.nl/news-detail/438cc35f-3075-4c21-a058-8899fc24564f/djibouti-inaugurates-red-sea-power-country-s-first-wind-farm?utm_source=chatgpt.com)

|                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                                                                                                                                                                                                                                                                                                                                                   |
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|                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | business practice; and, at a community level, is central to both managing risks and impacts to the nearby communities and enhancing potential benefits.                                                                                                                                                                                           |
| Working conditions | <p>Djibouti has ratified all eight core International Labour Organization (ILO) conventions, and a legal framework is in place to protect salaried workers, however local workers in Djibouti are vulnerable to poor working conditions. Migrant populations are also particularly vulnerable to exploitation, forced labour and trafficking, which must be considered in the procurement supply chain and subcontracting arrangements. Baseline findings suggest that adequate working conditions in terms of working hours and rest times are not always respected locally.</p> <p>Due to the context of labour and working conditions and human rights in Djibouti, receptors are considered to have High vulnerability to impacts that affect wellbeing and health and safety and worker rights in the absence of any active mitigation measures.</p> | <p>A contractual management system is established including policies and codes of practices, which dictate rules of engagement for sub-contractors working on behalf of the Project. Expectations on labour and working conditions are made clear at the bidding stage and are clearly articulated in procurement and contract documentation.</p> |

|                                                                                            |                                                                                                                                                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
|--------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                                            | Workers will also be vulnerable during retrenchment at the end of the construction period, particularly if they do not understand their rights with respect to retrenchment. |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Safety of women and girls                                                                  | Unsafety conditions for women workers.                                                                                                                                       | Gender Analysis and Action Plan together with Community Health and Safety Plan.<br>Project adheres to Convention on the Elimination of All Forms of Discrimination against Women (CEDAW) (1981).<br>Within Red Sea, a gender action plan has been implemented, using a conformance checklist for Women's Empowerment Principle. The actions identified as required to address the specific challenges faced by women in the Project Area of Interest and for mainstreaming gender in all aspects of the Project's activities are presented as a Gender Action Plan (GAP). |
| Safety of minority and marginalized groups, including children                             | Potential risk of marginalization.                                                                                                                                           | Company adheres to Convention on the Elimination of All Forms of Discrimination against Women (CEDAW) (1981) and Convention on the Rights of the Child (1990)                                                                                                                                                                                                                                                                                                                                                                                                             |
| Pollutants (air, noise, discharges to water, generation of waste, and release of hazardous | Surface water - contamination.<br>Pollution of waste is not properly disposed.                                                                                               | According to EIA:<br>A Waste Management Plan was developed during the detailed design phase and                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |

|                                                    |                                                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
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| materials and chemical pesticides and fertilizers) | <p>The Project could cause localized, temporary impacts on air quality due to on-site construction activities. Under normal operations there will be no gaseous emissions from the operating areas. For more info, please consult ESIA Report, Volume II.</p> | <p>implemented as soon as site preparation commenced.</p> <p>Fugitive dust emissions arising from various activities such as excavation, of material (loading and unloading), and vehicular movement (on unpaved roads) were minimized through construction site good practice.</p> <p>There were gaseous and fugitive dust emissions owing to movement of maintenance vehicles, which were minimized through onsite speed limits of 10-15 kph. Vehicular emissions are controlled through proper vehicle maintenance.</p> |
|----------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

## 2.3 Respect for Human Rights and Equity

### 2.3.1 Labor and Work

|                | Risks identified <sup>12</sup>     | Mitigation or preventative measure(s) taken                                                                                                                                                                                                                                                  |
|----------------|------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Discrimination | No risk identified in the project. | According to EIA, The Afar people, who inhabit the region that the Project site is located within, are an ethnic majority in Djibouti (~30% of total population) and are not considered to be subject to particular discrimination. They have not been the object of conquest and domination |

<sup>12</sup> The identified risks and commensurate mitigation or preventative measure(s) for forced labour, child labour, and human trafficking, must be inclusive of staff and contracted workers employed by third parties.

|                                 |                                                                                                                                                                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
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|                                 |                                                                                                                                                                                                                        | <p>therefore they are holders of the power on their territory. They are not enslaved, stigmatized, or marginalized by another ethno-linguistic group. The Afar people are therefore not considered to be an Indigenous people.</p> <p>Human resources policy of Red Sea, afford equal opportunity for employment to all potential and existing employees without regard to race, creed, colour, national origin, religion, gender, sexual orientation, or any other basis, as protected by international conventions and/or national law.</p> |
| Sexual harassment               | <p>Women are faced with specific health and safety risks. Gender-based violence and harassment (GBVH) can be particularly pervasive in societies where there is pronounced gender inequality and power imbalances.</p> | <p>The Project must take steps to ensure that gender-based health and safety needs and risks are considered and adequately addressed according to Gender Analysis and Action Plan.</p>                                                                                                                                                                                                                                                                                                                                                        |
| Equal pay for equal work        | <p>No risk identified in the project.</p>                                                                                                                                                                              | <p>The Labour Code (2006) protects all people from discrimination when seeking employment and requires equal payment for men and women. Human resources policy of Red Sea, applies equal pay for equal work principle.</p>                                                                                                                                                                                                                                                                                                                    |
| Gender equity in labor and work | <p>No risk identified in the project.</p>                                                                                                                                                                              | <p>The Project must take action to ensure that women are equally informed about and empowered to participate in and profit from the direct and indirect opportunities and benefits presented by the Project.</p> <p>Human resources policy of Red Sea, afford equal opportunity for employment to all potential and</p>                                                                                                                                                                                                                       |

|                          |                                    |                                                                                                                                                                                                                                                                                                                                                                  |
|--------------------------|------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                          |                                    | existing employees without regard to race, creed, colour, national origin, religion, gender, sexual orientation, or any other basis, as protected by international conventions and/or national law.                                                                                                                                                              |
| <b>Forced labor</b>      | No risk identified in the project. | Human resources policy of Red Sea, states “Not employ or engage forced, bonded or child labour, and respect national law and the International Labour Organisation (ILO) requirements on minimum age for workers.”                                                                                                                                               |
| <b>Child labor</b>       | No risk identified in the project. | Child labour (under 16 years old) and night work for youth (under 18 years old) are forbidden (Title I, Art. 5 and Title III, Chapter 1, Section 2, Art. 94, GdD 2005). <sup>13</sup> Human resources policy of Red Sea, states “Not employ or engage forced, bonded or child labour, and respect national law and ILO requirements on minimum age for workers.” |
| <b>Human trafficking</b> | No risk identified in the project. | Human resources policy of Red Sea, states “Not employ or engage forced, bonded or child labour, and respect national law and the International Labour Organisation (ILO) requirements on minimum age for workers.”                                                                                                                                               |

### 2.3.2 Human Rights

| Risks identified                   | Mitigation or preventative measure(s) taken                                            |
|------------------------------------|----------------------------------------------------------------------------------------|
| No risk identified in the project. | The republic of Djibouti has ratified or adheres to the main Human Rights Instruments. |

<sup>13</sup> Vol III – Ghoubet Windfarm ESIA Annexes.pdf

Human resources policy of Red Sea aims to provide their employees with information regarding their rights under national labour and employment law, including their rights related to wages, benefits and to form unions.

### 2.3.3 Indigenous Peoples and Cultural Heritage

| Risks identified   | Mitigation(s) or preventative measure taken                                                                                                                                                                                                                                                                                |
|--------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| No-risk identified | Applying World Bank Group Safeguard Policies according to EIA. The EA Policy considers the natural environment (air, water, and land), human health and safety, social aspects (involuntary resettlement, Indigenous peoples, and physical cultural resources), as well as transboundary and global environmental aspects. |

### 2.3.4 Property Rights

| Risks identified   | Mitigation or preventative measure(s) taken                                                                                                                                                         |
|--------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| No-risk identified | According to EIA, Vol II: The Directorate is in charge of all expropriation operations within the country and land registration or regularization in the case of small-scale compensation projects. |

### 2.3.5 Benefit Sharing

Not applicable as there is no benefit sharing involved in the project.

## 2.4 Ecosystem Health

|                                        | Risks identified                                                                                                                                                                                              | Mitigation or preventative measure(s) taken                                                                                                                                    |
|----------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Impacts on biodiversity and ecosystems | The Project involved localized vehicle movements from within Djibouti, minimizing the likelihood of non-native species being introduced via equipment, vehicles, and personal belongings of the workforce. No | The following measures and procedures were implemented during the construction of the Project: <ul style="list-style-type: none"> <li>Check origin of equipment and</li> </ul> |

|  |                                                                                                                                                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
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|  | <p>invasive alien species were recorded during baseline surveys.</p> <p>Collision with operating wind turbines is recognized as one of the key risks of wind power developments on bats and birds.</p> | <p>materials used on site; and</p> <ul style="list-style-type: none"> <li>Implement invasive species management procedure as part of BAP, including cleaning of equipment prior to shipping to site.</li> </ul> <p>The turbines and other project components will have passed through import checks prior to being cleared for movement to the site. Taking this into account, and with the mitigation measures set out above, the impact on receptors will be reduced to negligible and the effect is considered to be Not Significant.</p> <p>All turbines will be set back 200 m from escarpments which may provide a roosting habitat for bats, or soaring birds, thereby reducing the likelihood of bats or birds interacting with active turbines.</p> <p>Waste from operational activities will be strictly controlled (if the population supports it) and disposed offsite to reduce the attraction of Egyptian vultures to the Project site.</p> <p>To reduce the attraction of birds to turbines and towers, minimize or avoid the use of sodium vapor lights at site facilities and use blinking</p> |
|--|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|



|  |  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
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|  |  | <p>lights with at least a 3-second gap between flashes.</p> <p>Shutdown On Demand (SHOD) with automatic detection and alarms appears as the most effective solution to prevent collision</p> <p>RSP SAS organized and financed the training of 2 local persons (Moumina &amp; Lac Assal) for</p> <p>carcass search by 2 qualified specialists from Kenya in March 2024. The trained Carcass Search</p> <p>Team will perform daily carcass searches for 9 months so that the Project can have a fair</p> <p>evaluation of the efficiency of the new (Shut Down on Demand (SHOD) system (DT Birds and</p> <p>Bats product) to be implemented in 2024 for automatic detection of the birds (mainly Egyptian</p> <p>Vultures) and bats identified in the 2024 bats' survey.</p> <p>All findings of the carcass search have to be reported to the site management on a daily basis</p> <p>with the support of the Bio-Diversity Manager when necessary for identification. Then HSE</p> <p>Manager will be in charge of monthly reporting to ESC. All</p> |
|--|--|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

|                                   |                                                                                                                                                                         |                                                                                                                                                                                                                                                                                                    |
|-----------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                   |                                                                                                                                                                         | findings have to be documented with pictures, location, and circumstances (time, wind, weather, etc.) <sup>14</sup>                                                                                                                                                                                |
| Soil degradation and soil erosion | Groundworks and construction activity resulting in soil compaction and loss of soil stabilizing vegetation (therefore increasing surface runoff and localized erosion). | EIA states how project is avoiding soil degradation.                                                                                                                                                                                                                                               |
| Water consumption and stress      | Not risk identified.                                                                                                                                                    | According to EIA, A Water Resources Study was performed to confirm Office National de l'Eau et de l'Assainissement de Djibouti's (ONEAD) statement that the source of water used for the Project is sufficient to supply to water required for the Project and not impact supply to other parties. |

### 2.4.1 Rare, Threatened, and Endangered species

Is the project located in or adjacent to habitats for rare, threatened, or endangered species?

☐ Yes ☒ No

*If yes, list such species and habitats in the table below and provide evidence that the project has not adversely impacted these areas during the monitoring period.*

|                     |                                                                                                                                                                                                                                                                                                                                                                                                                                |
|---------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Species and habitat | <p>Not Applicable,</p> <p>According to ESIA, the majority of plant and animal species recorded on site are all common and widespread. Two mammal species of conservation concern, the IUCN VU Dorcas gazelle and IUCN NT striped hyena, are considered to be of medium sensitivity/value. One reptile species, the Djibouti whip snake is currently considered to be endemic to Djibouti and is considered to be of medium</p> |
|---------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

<sup>14</sup> O&M Biodiversity Management Plan.

|                                       |                                                                                                                                                                                                                                                                                                                                                                                                               |
|---------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                       | <p>sensitivity/value as a result of its known limited distribution and small population size.</p> <p>The sensitivity of all other terrestrial biodiversity resources (except birds and bats) within Project Area of Interest (AoI) is assessed through the baseline studies as being low. This is because the habitats and majority of species present on site are common and widespread across Djibouti.</p> |
| Areas needed for habitat connectivity | <p><b>Not Applicable,</b></p> <p>The habitats and majority of species present on site are common and widespread across Djibouti.</p>                                                                                                                                                                                                                                                                          |

|                                                       | Risks identified                                                                                                    | Mitigation or preventative measure(s) taken |
|-------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------|---------------------------------------------|
| Habitats for rare, threatened, and endangered species | No risk identified, the habitats and majority of species present on site are common and widespread across Djibouti. | N/A                                         |
| Areas for habitat connectivity                        | No risk identified, the habitats and majority of species present on site are common and widespread across Djibouti. | N/A                                         |

## 2.4.2 Introduction of species

Not applicable for renewable projects.

| Species introduced        | Classification                                                                       | Justification for use                       | Adverse effects and mitigation |
|---------------------------|--------------------------------------------------------------------------------------|---------------------------------------------|--------------------------------|
| N/A                       | N/A                                                                                  | N/A                                         | N/A                            |
| Existing invasive species | Mitigation measures to prevent the spread or continued existence of invasive species |                                             |                                |
| N/A                       | N/A                                                                                  |                                             |                                |
|                           | Risks identified                                                                     | Mitigation or preventative measure(s) taken |                                |
| Invasive species          | N/A                                                                                  | N/A                                         |                                |

### 2.4.3 Ecosystem conversion

Not applicable for renewable projects.

|                      | Risks identified | Mitigation or preventative measure(s) taken |
|----------------------|------------------|---------------------------------------------|
| Ecosystem conversion | N/A              | N/A                                         |

## 3 APPLICATION OF METHODOLOGY

### 3.1 Title and Reference of Methodology

| Type (methodology, tool, or module). | Reference ID, if applicable | Title                                                                                       | Version |
|--------------------------------------|-----------------------------|---------------------------------------------------------------------------------------------|---------|
| Methodology                          | ACM0002                     | <u>Grid connected electricity generation from renewable sources"</u>                        | 22.0    |
| Tool                                 | TOOL01                      | <u>Tool for the demonstration and assessment of additionality</u>                           | 7.0.0   |
|                                      |                             |                                                                                             |         |
| Tool                                 | TOOL 07                     | <u>Tool to calculate the emission factor for an electricity system</u>                      | 7.0     |
| Tool                                 | TOOL 09                     | <u>Determining the baseline efficiency of thermal or electric energy generation systems</u> | 3.0     |
| Tool                                 | TOOL 23                     | <u>Additionality of first-of-its-kind project activities</u>                                | 3.0     |

### 3.2 Applicability of Methodology

| Methodology ID | Applicability condition                                                                                     | Justification of compliance                                                      |
|----------------|-------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------|
| ACM0002        | This methodology is applicable to grid-connected renewable energy power generation project activities that: | The project activity is a greenfield grid connected wind generation power plant. |

|         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                                                                                                                  |
|---------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------|
|         | <ul style="list-style-type: none"> <li>(a) Install a Greenfield power plant;</li> <li>(b) Involve a capacity addition to (an) existing plant(s);</li> <li>(c) Involve a retrofit of (an) existing operating plant(s)/unit(s);</li> <li>(d) Involve a rehabilitation of (an) existing plant(s)/unit(s); or</li> <li>(e) Involve a replacement of (an) existing plant(s)/unit(s); Or</li> <li>(f) Install a Greenfield power plant together with a grid-connected Greenfield pumped storage power plant. The greenfield power plant may be directly connected to the PSP or connected to the PSP through the grid.</li> </ul>                                                                        |                                                                                                                  |
| ACM0002 | <p>In case the project activity involves the integration of a BESS, the methodology is applicable to grid-connected renewable energy power generation project activities that:</p> <ul style="list-style-type: none"> <li>(a) Integrate BESS with a Greenfield power plant.</li> <li>(b) (b) Integrate a BESS together with implementing a capacity addition to (an) existing solar photovoltaic or wind power plant(s)/unit(s).</li> <li>(c) Integrate a BESS to (an) existing solar photovoltaic or wind power plant(s)/unit(s) without implementing any other changes to the existing plant(s);</li> <li>(d) Integrate a BESS together with implementing a retrofit of (an) existing</li> </ul> | <p>Project activity does not involve the implementation of BESS therefore, this condition is not applicable.</p> |

|         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                          |
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|         | <p>solar photovoltaic or wind power plant(s)/unit(s);</p> <p>(e) Integrate a BESS together with a Greenfield power plant that is operating in coordination with a PSP. The BESS is located at site of the greenfield renewable power plant.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                          |
| ACM0002 | <p>The methodology is applicable to the following technologies:</p> <p>a) Hydro power plant/unit with or without reservoir, wind power plant/unit, geothermal power plant/unit, solar power plant/unit, wave power plant/unit or tidal power plant/unit;</p> <p>b) In the case of capacity additions, retrofits, rehabilitations, or replacements (except for wind, solar, wave or tidal power capacity addition projects) the existing plant/unit must have started commercial operation prior to the start of a minimum historical reference period of five years. The reference period is used for the calculation of baseline emissions and defined in the baseline emission section. Furthermore, no capacity expansion, retrofit, or rehabilitation of the plant/unit has been undertaken between the start of this minimum historical reference period and the implementation of the project activity;</p> <p>c) In case of Greenfield project activities applicable under paragraph 7(a) above, the project</p> | <p>Project consists of a wind power plant, condition (a) is applicable and condition (b, c, d, e) is not applicable.</p> |

|  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |  |
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|  | <p>participants shall demonstrate that the BESS was an integral part of the design of the renewable energy project activity (e.g., by referring to feasibility studies or investment decision documents);</p> <p>d) The BESS should be charged with electricity generated from the associated renewable energy power plant(s). Only during exigencies<sup>2</sup> may the BESS be charged with electricity from the grid or a fossil fuel electricity generator. In such cases, the corresponding GHG emissions shall be accounted for as project emissions following the requirements under section 5.4.4 below. The charging using the grid or using fossil fuel electricity generator should not amount to more than 2 per cent of the electricity generated by the project renewable energy plant during a monitoring period. During the time periods (e.g., week(s), months(s)) when the BESS consumes more than 2 per cent of the electricity for charging, the project participant shall not be entitled to issuance of the certified emission reductions for the concerned periods of the monitoring period.</p> <p>e) In case the project activity involves PSP, the PSP shall utilize the electricity generated from the renewable energy power plant(s) that is operating in coordination</p> |  |
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|         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |                                                                                     |
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|         | with the PSP during pumping mode.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                                                                                     |
| ACM0002 | <p>In case of hydro power plants, one of the following conditions shall apply:</p> <ul style="list-style-type: none"> <li>(a) The project activity is implemented in existing single or multiple reservoirs, with no change in the volume of any of the reservoirs; or</li> <li>(b) The project activity is implemented in existing single or multiple reservoirs, where the volume of the reservoir(s) is increased and the power density, calculated using equation (7), is greater than 4 W/m<sup>2</sup>; or</li> <li>(c) The project activity results in new single or multiple reservoirs and the power density, calculated using equation (7), is greater than 4 W/m<sup>2</sup>; or</li> <li>(d) The project activity is an integrated hydro power project involving multiple reservoirs, where the power density for any of the reservoirs, calculated using equation (7), is lower than or equal to 4 W/m<sup>2</sup>, and all of the following conditions shall apply: <ul style="list-style-type: none"> <li>(i) The power density calculated using the total installed capacity of the integrated project, as per equation (8), is greater than 4 W/m<sup>2</sup>;</li> <li>(ii) Water flow between reservoirs is not used by any other hydropower unit</li> </ul> </li> </ul> | Project is not a hydro power plant and therefore, this condition is not applicable. |



|         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                            |
|---------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------|
|         | <p>which is not a part of the project activity;</p> <p>(iii) Installed capacity of the power plant(s) with power density lower than or equal to 4 W/m<sup>2</sup> are:</p> <p>a. Lower than or equal to 15 MW; and</p> <p>b. Less than 10 per cent of the total installed capacity of integrated hydro power project.</p>                                                                                                                                                                                                                                                                                                                                                                                                            |                                                                                            |
| ACM0002 | <p>In the case of integrated hydro power projects, project participants shall:</p> <p>(a) Demonstrate that water flow from upstream power plants/units spill directly to the downstream reservoir and that collectively constitute to the generation capacity of the integrated hydro power project; or</p> <p>(b) Provide an analysis of the water balance covering the water supplied to power units, with all combinations of reservoirs and without the construction of reservoirs. The purpose of water balance is to demonstrate the requirement of specific combination of reservoirs constructed under CDM project activity for the optimization of power output. This demonstration has to be conducted in the specific</p> | <p>Project is not a hydro power plant and therefore, this condition is not applicable.</p> |

|         |                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                          |
|---------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | <p>scenario of water availability in different seasons to optimize the water flow at the inlet of power units. Therefore, this water balance will consider seasonal flows from river, tributaries (if any), and rainfall for minimum of five years prior to the implementation of the CDM project activity.</p>                                                                                                                                      |                                                                                                                                                                                          |
| ACM0002 | <p>In the case of PSP, the project participants shall demonstrate in the PDD that the project is not using water which would have been used to generate electricity in the baseline.</p>                                                                                                                                                                                                                                                             | <p>Project is not PSP and therefore, this condition is not applicable.</p>                                                                                                               |
| ACM0002 | <p>The methodology is not applicable to:</p> <ul style="list-style-type: none"> <li>(a) Project activities that involve switching from fossil fuels to renewable energy sources at the site of the project activity, since in this case the baseline may be the continued use of fossil fuels at the site;</li> <li>(b) Biomass fired power plants/units.</li> </ul>                                                                                 | <p>The project neither involve switching from fossil fuels to renewable energy sources nor biomass fired power plant units and therefore, this condition is not applicable.</p> <p>.</p> |
| ACM0002 | <p>In the case of retrofits, rehabilitations, replacements, or capacity additions, this methodology is only applicable if the most plausible baseline scenario, as a result of the identification of baseline scenario, is “the continuation of the current situation, that is to use the power generation equipment that was already in use prior to the implementation of the project activity and undertaking business as usual maintenance”.</p> | <p>Project does not involve a retrofit; therefore, this condition is not applicable.</p>                                                                                                 |
|         |                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                          |

| Tool ID        | Applicability condition                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Justification of compliance                                                                      |
|----------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------|
| <b>TOOL 01</b> | <p>The use of the “Tool for the demonstration and assessment of additionality” is not mandatory for project participants when proposing new methodologies. Project participants may propose alternative methods to demonstrate additionality for consideration by the Executive Board. They may also submit revisions to approved methodologies using the additionality tool.</p> <p>Once the additionally tool is included in an approved methodology, its application by project participants using this methodology is mandatory.</p> | <p>The additionality tool is included in ACM0002 and therefore its application is mandatory.</p> |

| Tool ID  | Applicability condition                                                                                                                                                                                                                                                                                                                                                             | Justification of compliance                                                                                                                                                                                                                                        |
|----------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| TOOL 07: | <p>This tool may be applied to estimate the OM, BM and/or CM when calculating baseline emissions for a project activity that substitutes grid electricity that is where a project activity supplies electricity to a grid or a project activity that results in savings of electricity that would have been provided by the grid (e.g. demand-side energy efficiency projects).</p> | <p>As part of ACM0002, “operating margin” (OM), “build margin” (BM) and “combined margin” (CM) need to be estimated to calculate baseline emissions of the project activity that substitutes electricity, therefore, the applicability condition is applicable</p> |
| TOOL 07: | <p>Under this tool, the emission factor for the project electricity system can be calculated either for grid power plants only or, as an option, can include off - grid power plants. In the latter case, two sub-options under the step 2 of the tool are available to the project participants, i.e. option IIa</p>                                                               | <p>The emission factor for the project electricity system is calculated for grid power plants and off-grid power plants. Option IIb is applied, i.e. the applicability condition is applicable</p>                                                                 |

|          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                        |
|----------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|          | and option IIb. If option IIa is chosen, the conditions specified in “Appendix 1: Procedures related to off-grid power generation” should be met. Namely, the total capacity of off-grid power plants (in MW) should be at least 10 per cent of the total capacity of grid power plants in the electricity system; or the total electricity generation by off-grid power plants (in MWh) should be at least 10 per cent of the total electricity generation by grid power plants in the electricity system; and that factors which negatively affect the reliability and stability of the grid are primarily due to constraints in generation and not to other aspects such as transmission capacity. |                                                                                                                                                                                        |
| TOOL 07: | In case of CDM projects the tool is not applicable if the project electricity system is located partially or totally in an Annex I country.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Since the project electricity system is not located partially or totally in an Annex I country - it is located in the Republic of Djibouti - the applicability condition is applicable |
| TOOL 07: | Under this tool, the value applied to the CO <sub>2</sub> emission factor of biofuels is zero.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | There are no biofuels used in the project activity, therefore this condition is not applicable                                                                                         |

| Methodology ID | Applicability condition                                                                                                           | Justification of compliance                                                                       |
|----------------|-----------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------|
| TOOL 09        | <p>This tool is applicable to energy generation systems that:</p> <p>a) Generate only electricity (and no thermal energy); or</p> | It is applied to energy generation systems that generate only electricity according to option a). |

|         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |                                                                                                                                                                                              |
|---------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         | <ul style="list-style-type: none"> <li>b) Produce only thermal energy (and no electricity); or</li> <li>c) Produce both electricity and thermal energy (cogeneration).</li> </ul>                                                                                                                                                                                                                                                                                                                           |                                                                                                                                                                                              |
| TOOL 09 | <p>Also, the following conditions apply:</p> <ul style="list-style-type: none"> <li>a) The tool is applicable to waste heat recovery systems to calculate efficiency values using options (A) to (E) as provided under paragraph 12 below;</li> <li>b) The tool can be applied only if load is the main operating parameter that influences the efficiency of the energy generation system. For cogeneration systems, the heat to power ratio may also be considered a main operating parameter.</li> </ul> | It is applied to energy generation systems that generate only electricity and where the load is the main operating parameter that influences the efficiency of the energy generation system. |
| TOOL 09 | Methodologies referring to this tool should specify for which energy generation systems the tool is used and whether a load-efficiency function and/or a constant efficiency should be determined.                                                                                                                                                                                                                                                                                                          | ACM0002 does not refer to this tool and therefore, this condition is not applicable.                                                                                                         |

| Methodology ID | Applicability condition                                                                                                                                                                                                                                                                                                                                                                                                                                     | Justification of compliance                                                                                                                                                                                                                                                  |
|----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| TOOL 23:       | This methodological tool is applicable to project activities that wish to use the "first-of-its kind" approach to demonstrate additionality and that use versions of baseline and monitoring methodologies, or the "Tool for the demonstration and assessment of additionality" or the "Combined tool to identify the baseline scenario and demonstrate additionality", which allow using the "first-of-its kind" approach for demonstrating additionality. | In accordance with ACM0002 methodology, additionality of the project activity is demonstrated and assessed with the "Tool for the demonstration and assessment of additionality" which allows the use of the "TOOL23: Additionality of first-of-its-kind project activities" |

Other tools mentioned in the methodology are not applicable to this project activity.

### 3.3 Project Boundary

| Source   | Gas                                                                                                                                    | Included? | Justification/Explanation            |
|----------|----------------------------------------------------------------------------------------------------------------------------------------|-----------|--------------------------------------|
| Baseline | CO <sub>2</sub> emissions from electricity generation in fossil fuel fired power plants that are displaced due to the project activity | Yes       | Main emission source                 |
|          | CH <sub>4</sub>                                                                                                                        | No        | Minor emission source                |
|          | N <sub>2</sub> O                                                                                                                       | No        | Minor emission source                |
| Project  | For dry or flash steam geothermal power plants, emissions of CH <sub>4</sub> and CO <sub>2</sub> from non-                             | No        | Not applicable (Only for geothermal) |
|          |                                                                                                                                        | No        | Not applicable (Only for geothermal) |

| Source |                                                                                                                                                         | Gas                                 | Includ<br>ed? | Justification/Explanation                                                        |
|--------|---------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------|---------------|----------------------------------------------------------------------------------|
|        | condensable gases contained in geothermal steam                                                                                                         | N <sub>2</sub> O                    | No            | Not applicable (Only for geothermal)                                             |
|        | For binary geothermal power plants, fugitive emissions of CH <sub>4</sub> and CO <sub>2</sub> from non-condensable gases contained in geothermal steam  | CO <sub>2</sub>                     | No            | Not applicable (Only for geothermal)                                             |
|        |                                                                                                                                                         | CH <sub>4</sub>                     | No            | Not applicable (Only for geothermal)                                             |
|        |                                                                                                                                                         | N <sub>2</sub> O                    | No            | Not applicable (Only for geothermal)                                             |
|        | For binary geothermal power plants, fugitive emissions of hydrocarbons such as n-butane and isopentane (working fluid) contained in the heat exchangers | Low GWP hydrocarbon/r<br>efrigerant | No            | Not applicable (Only for geothermal)                                             |
|        | CO <sub>2</sub> emissions from combustion of fossil fuels for electricity generation in solar thermal power plants and geothermal power plants          | CO <sub>2</sub>                     | No            | Not applicable (Only for solar thermal power plants and geothermal power plants) |
|        |                                                                                                                                                         | CH <sub>4</sub>                     | No            | Not applicable (Only for solar thermal power plants and geothermal power plants) |
|        |                                                                                                                                                         | N <sub>2</sub> O                    | No            | Not applicable (Only for solar thermal power plants and geothermal power plants) |
|        | For hydro power plants, emissions of CH <sub>4</sub> from the reservoir                                                                                 | CO <sub>2</sub>                     | No            | Not applicable (Only for hydro)                                                  |
|        |                                                                                                                                                         | CH <sub>4</sub>                     | No            | Not applicable (Only for hydro)                                                  |
|        |                                                                                                                                                         | N <sub>2</sub> O                    | No            | Not applicable (Only for hydro)                                                  |

| Source |                                                                                              | Gas              | Included? | Justification/Explanation                   |
|--------|----------------------------------------------------------------------------------------------|------------------|-----------|---------------------------------------------|
|        | Charging of BESS using electricity from the grid or from fossil fuel electricity generators. | CO <sub>2</sub>  | No        | Not applicable (Only for project with BESS) |
|        |                                                                                              | CH <sub>4</sub>  | No        | Not applicable (Only for project with BESS) |
|        |                                                                                              | N <sub>2</sub> O | No        | Not applicable (Only for project with BESS) |
|        | Utilization of electricity from grid or from fossil fuel generators by PSP for pumped mode.  | CO <sub>2</sub>  | No        | Not applicable (there is no PSP)            |
|        |                                                                                              | CH <sub>4</sub>  | No        | Not applicable (there is no PSP)            |
|        |                                                                                              | N <sub>2</sub> O | No        | Not applicable (there is no PSP)            |
|        | For PSP, emissions of CH <sub>4</sub> from the reservoir                                     | CO <sub>2</sub>  | No        | Not applicable (there is no PSP)            |
|        |                                                                                              | CH <sub>4</sub>  | No        | Not applicable (there is no PSP)            |
|        |                                                                                              | N <sub>2</sub> O | No        | Not applicable (there is no PSP)            |

According to ACM0002 methodology, the spatial extent of the project boundary includes the project power plant and all power plants connected physically to the electricity system that the VCS project power plant is connected to. The project boundary is therefore determined as:

- the project activity site, where the electricity is being produced,
- the grid that the power plant is connected to.



# PROJECT BOUNDARY

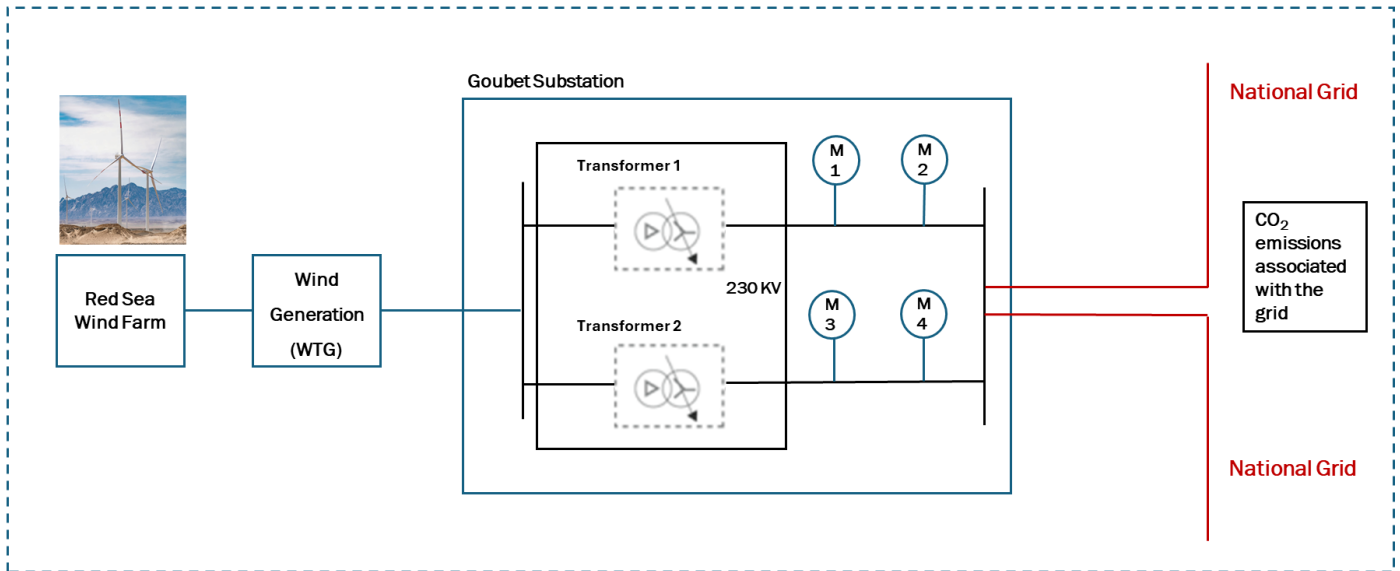
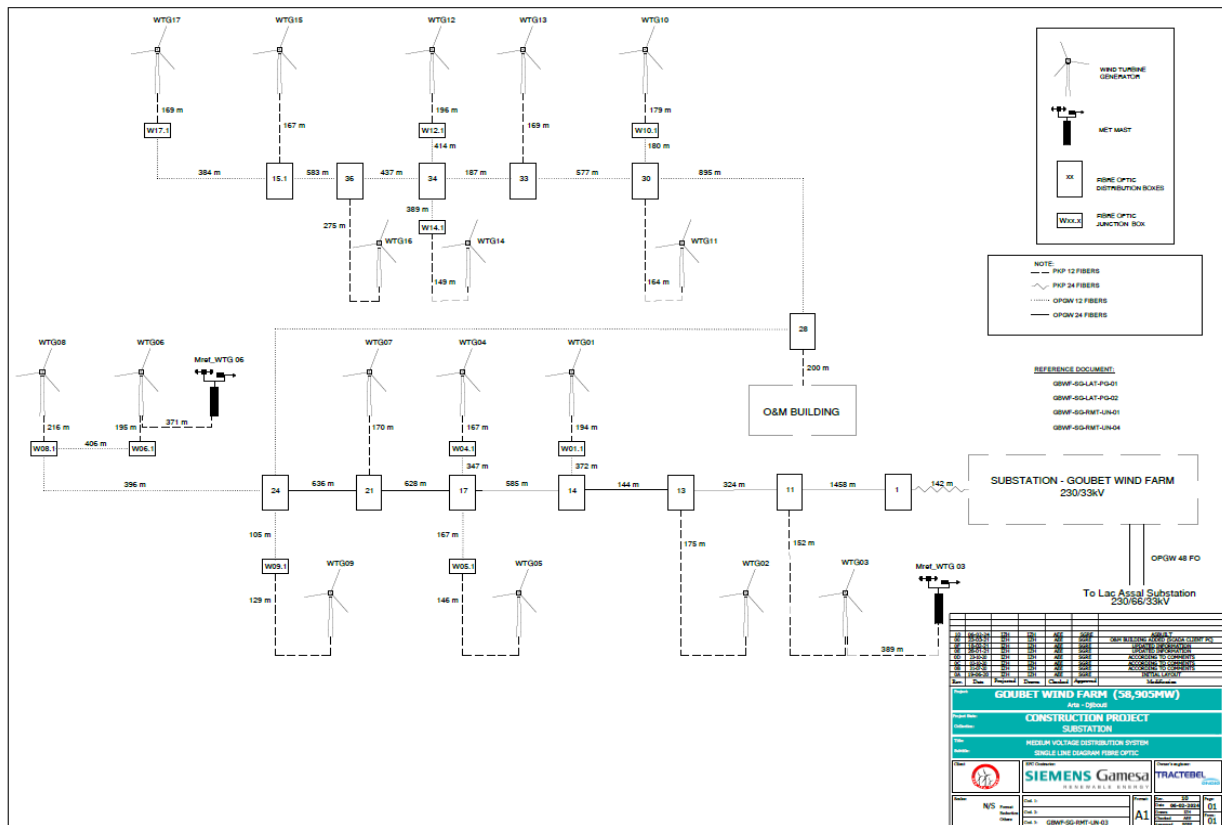


Figure 3. Project boundary



### 3.4 Baseline Scenario

According to ACM0002 Version 22.0 and since the project activity is the installation of a new grid-connected renewable power plant (Greenfield) the baseline scenario is the following:

“The baseline scenario is electricity delivered to the grid by the project activity that would have otherwise been generated by the operation of grid-connected power plants and by the addition of new generation sources, as reflected in the combined margin (CM) calculations described in TOOL07.”

Baseline emissions include only CO<sub>2</sub> emissions from electricity generation in fossil fuel fired power plants that are displaced due to the project activity. The methodology assumes that all project electricity generation above baseline levels would have been generated by existing grid-connected power plants and the addition of new grid-connected power plants. The baseline emissions are to be calculated as described in section 5.1

### 3.5 Additionality

According to ACM0002 Version 22, the tool 01, “Tool for the demonstration and assessment of additionality” version 07.0.0 applies for additionality demonstration, as well as the Tool 23 Additionality of first of its kind project activities version 03.0.

#### 3.5.1 Regulatory Surplus

Is the project registered or seeking registration in an UNFCCC Annex 1 or Non-Annex 1 country?

☐ Annex 1 country

☒ Non-Annex 1 country

Are the project activities mandated by any law, statute, or other regulatory framework?

☐ Yes

☒ No

If the project is located inside a Non-Annex 1 country and the project activities are mandated by a law, statute, or other regulatory framework, are such laws, statutes, or regulatory frameworks systematically enforced?

☐ Yes

☒ No

*If no, describe which mandated laws, statutes, or other regulatory frameworks require project activities and provide evidence of systematic non-enforcement to demonstrate regulatory surplus.*

To date, there are no regulations and policies preventing the implementation of the project activity, which follows all and any relevant local, regional, and national laws, statutes, and regulatory frameworks:

Décret n° 2009-0218/PR/MERN Establishing the national Energy. This decree sets up the National Energy Commission, whose mission is to ensure the coordination of energy projects, and more generally to undertake studies of all the measures contributing to a better coordination of the country's energy development.

In Djibouti, the procedure for evaluating impact assessments is governed by Djiboutian Government Law n°51/AN/09/6ème L bearing the code of the environment proving the basic rules and fundamental principles of national policy in the field of environmental protection and management.

### 3.5.2 Additionality Methods

The tool 01. “Tool for the demonstration and assessment of additionality. Version 07.0.0.” provides a step-wise approach to demonstrate and assess the additionality of a CDM project.

These steps are:

- (a) Step 0 Demonstration whether the proposed project activity is the first-of-its-kind.
- (b) Step 1 Identification of alternatives to the project activity.
- (c) Step 2 Investment analysis.
- (d) Step 3 Barriers analysis; and
- (e) Step 4 Common practice analysis.

Step 0 from the methodology procedure of the tool for the demonstration and assessment of additionality is to demonstrate whether the proposed project activity is the first of its kind. The Ministry of Energy and Natural Resources of the Republic of Djibouti confirm that the Wind Farm Project developed by Red Sea Power SAS (RSP Wind Farm), with a capacity of 60MW, is the first renewable energy project to be developed and connected to the national electricity grid of the Republic of Djibouti. There are no other wind farms or renewable energy production plants that have been developed and connected to the public grid in the Republic of Djibouti. Also, it was publicly available Djibouti Inaugurates its First Wind Farm<sup>15</sup>

<sup>16</sup> <sup>17</sup>

The tool 23 Additionality of first of its kind project activities states that a proposed project activity is the first of its kind in the applicable geographic area (host country) if:

|                        |                                                                                                     |
|------------------------|-----------------------------------------------------------------------------------------------------|
| Applicable area        | Entire host country<br>Djibouti (a)                                                                 |
| Measure                | Switch of technology with change of energy source (b)<br>power generation based on renewable energy |
| Output                 | Goods/services produced by the project activity<br>Electricity                                      |
| Different technologies | Size of installation (power capacity)<br>Large                                                      |

<sup>15</sup> [Djibouti Inaugurates Its First Wind Farm - World-Energy](#)

<sup>16</sup> <https://www.fmo.nl/news-detail/438cc35f-3075-4c21-a058-8899fc24564f/djibouti-inaugurates-red-sea-power-country-s-first-wind-farm>

<sup>17</sup> <https://renewablesnow.com/news/djibouti-launches-its-first-ever-wind-farm-833569/>

|                  |                                                                                                                                                |
|------------------|------------------------------------------------------------------------------------------------------------------------------------------------|
| Crediting period | The project participants selected a crediting period for the project activity that is “a maximum of 10 years with no option of renewal” (c)    |
| Evidence         | As of project’s start date (01/06/2023), no other large-scale wind power plant (>15 MW) was in commercial operation in Djibouti. <sup>18</sup> |

The project is thus considered additional.

### 3.6 Methodology Deviations

No methodological deviations were used.

## 4 IMPLEMENTATION STATUS

### 4.1 Implementation Status of the Project Activity.

Project entered in commercial operation on 01 January 2024, and it is connected to the grid since 01 June 2023. This 59 MW onshore wind farm, located near Lake Ghoubet in Djibouti's Arta region, represents a significant milestone in the nation's pursuit of renewable energy. Project has generated 286,045 MWh during the monitoring period from 01 June 2023 till 31 December 2024. Project Red Sea has prevented the release of 135,927 tonnes of CO<sub>2</sub> into the atmosphere during the monitoring period

Djibouti intends to harness 100% of electricity from renewable resources by 2030. The development of wind farms produces several economic benefits such as a savings on fuel as a result of volatile oil and gas prices alongside increase employment but also environmental benefits such as a reduction in GHG emissions.

The status of implementation of the project activity describes in the table below:

|                  |                                                                      |
|------------------|----------------------------------------------------------------------|
| 05 February 2018 | Feasibility studies                                                  |
| 31 August 2018   | ESIA                                                                 |
| 19 May 2019      | Power Purchase Agreement with Electricity de Djibouti                |
| 01 June 2023     | Beginning of electricity injection to the grid during testing phase. |
| 01 January 2024  | Commercial operation start date                                      |

<sup>18</sup> Attestation Ministry of Energy and Natural resources of the Republic of Djibouti.

## 5 QUANTIFICATION OF ESTIMATED GHG EMISSION REDUCTIONS AND REMOVALS

### 5.1 Baseline Emissions

Baseline emissions include only CO<sub>2</sub> emissions from electricity generation in fossil fuel fired power plants that are displaced due to the project activity. The methodology assumes that all project electricity generation above baseline levels would have been generated by existing grid-connected power plants and/or the addition of new grid-connected power plants. The baseline emissions are to be calculated as follows:

$$BE_y = EG_{PJ,y} \times EF_{grid,CM,y}$$

Where:

|                  |                                                                                                                                                               |
|------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------|
| $BE_y$           | Baseline emissions in year y (t CO <sub>2</sub> /yr)                                                                                                          |
| $EG_{PJ,y}$      | Quantity of net electricity generation that is produced and supplied to the grid as a result of the implementation of the project activity in year y (MWh/yr) |
| $EF_{grid,CM,y}$ | Combined margin CO <sub>2</sub> emission factor for grid connected power generation in year y calculated using TOOL07 (t CO <sub>2</sub> /MWh)                |

#### Calculation of $EG_{PJ,y}$

Since the project activity consists of the installation of new grid-connected renewable power plant at a site where no renewable power plant was operated prior to the implementation of the project activity, the project activity is the installation of a greenfield renewable energy power plant, so that:

$$EG_{PJ,y} = EG_{facility,y}$$

Where:

|                   |                                                                                                                                                               |
|-------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------|
| $EG_{PJ,y}$       | Quantity of net electricity generation that is produced and supplied to the grid as a result of the implementation of the project activity in year y (MWh/yr) |
| $EG_{facility,y}$ | Quantity of net electricity generation supplied by the project plant/unit to the grid in year y (MWh/yr)                                                      |

#### Calculation of $EF_{grid,CM,y}$

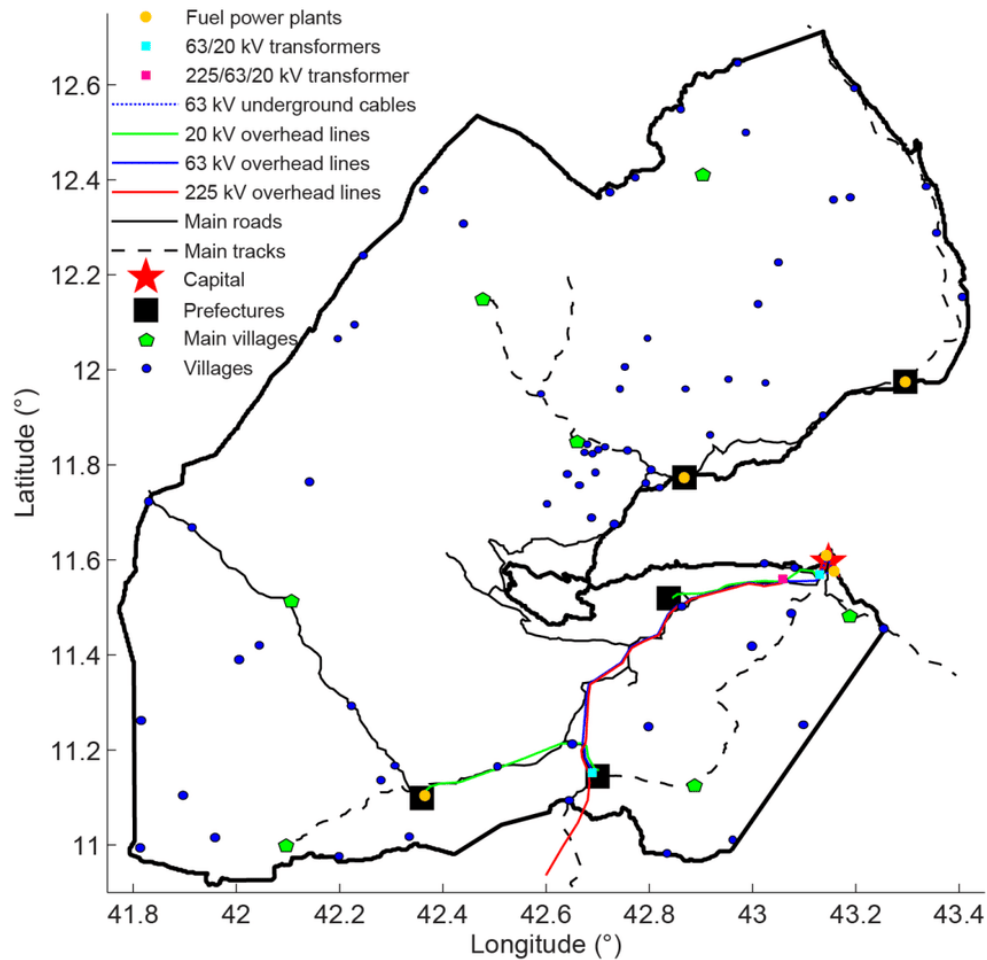
The grid emission factor ( $EF_{grid,CM,y}$ ) is calculated ex-ante as per the “Tool to calculate the emission factor for an electricity-system” (Version 7.0). The emission factor is not monitored during the crediting period of the project activity.

This methodological tool determines the CO<sub>2</sub> emission factor for the displacement of electricity generated by power plants in an electricity system, by calculating the “combined margin” emission factor (CM) of the electricity system. The CM is the result of a weighted average of two emission factors pertaining to the electricity system: the “operating margin” (OM) and the “build margin” (BM). The operating margin is the emission factor that refers to the group of existing power plants whose current electricity generation would be affected by project activity. The build margin is the emission factor that refers to the group of prospective power plants whose construction and future operation would be affected by the project activity.

The tool indicates six steps for the calculation of the combined margin (CM) emission factor:

**STEP 1. Identify the relevant electricity systems.**

The following map shows the geographical boundary of the Djiboutian grid.



**Figure 4. Geographical boundary of the Djiboutian grid.**

As of 2023 (latest data available before starting date), the DNA of the host country has not published a delineation of the project electricity system and connected electricity systems. Thus, the project participant defines the “*project electricity system*” and interconnected systems as per Option 2 based on EDD delineation (national utility responsible for electricity dispatching).

Therefore, the relevant electric power system is the national grid of Djibouti, including all power plants physically connected through transmission and distribution lines to the project activity. It is managed by EDD, which annually aggregated power production and import summaries have been obtained and relied on for the establishment of the grid emission factor calculation.

The project electricity system is also connected to the Ethiopian power grid<sup>19</sup>, together consisting of the “*connected electricity system*” - thus electricity transfers from a connected electricity systems to the

<sup>19</sup> with transmission constraints as per <https://www.afdb.org/en/documents/multinational-ethiopia-djibouti-power-system-interconnection-project-semara-galafi-230kv-transmission-line-project-p-z1-fa0-179/p-z-fa0-180-esia-executive-summary>

project electricity system are defined as electricity imports while electricity transfers from the project electricity system to connected electricity systems are defined as electricity exports.

**STEP 2. Choose whether to include off-grid power plants in the project electricity system (optional).**

The following option is selected to calculate the operating margin and build margin emission factor:

- Option II: Both grid power plants and off-grid power plants are included in the calculation.
  - Option IIb: the default CO<sub>2</sub> emission factor and the default value of the electricity generated by the off-grid power plants can be applied, since the following conditions for this option are met:
    - (a) The project activity is located in (i) a Least Developed Country (LDC); and
    - (b) The project activities consist of grid-connected renewable power generation; and
    - (c) There is a load shedding program in place to compensate the deficit of the generation capacities<sup>20</sup>.

For the off-grid power plants that choose Option IIb, the EF has been calculated using the fuel type and average net energy conversion efficiency

**STEP 3: Select a method to determine the operating margin (OM)**

The calculation of the operating margin emission factor ( $EF_{grid,OM,y}$ ) is based on the following method, which is described under Step 4:

(b) Simple adjusted OM;

The Simple OM method (a) can be used when low-cost/must run resources constitute less than 50% of the total amount of the power generation on the grid, in average of the five most recent years. Between 2018 and 2022 the low-cost/must run share represented more than 50%. Therefore, method (a) Simple OM is inapplicable.

The simple adjusted OM method is applied since:

- LCMR share is greater than 50% in recent 5 years
- Average load by LCMR is greater than average LASL over three years
- Hourly loads of the grid in MW are unavailable and  $LASL > 1/3 HASL$

---

<sup>20</sup> Load-shedding embedded in IPP concessions ('délestage' in French as per <http://www.droit-afrique.com/uploads/Djibouti-Decret-2019-13-activites-producteurs-independants-electricite.pdf> as well as in EPC Art. 287. §1. 'Plan de délestage,' load shedding program being an integral part of the 'Code de sauvegarde' (network connection contract)]



**Table 3. Net power generation and share of low-cost must run power plants.**

|                                      | 5 years of historical data |         |         |         |         |
|--------------------------------------|----------------------------|---------|---------|---------|---------|
| Year                                 | 2018                       | 2019    | 2020    | 2021    | 2022    |
| Net production [MWh]                 | 526,034                    | 494,585 | 552,571 | 561,993 | 657,576 |
| Total share of low-cost/must-run [%] | 94.6%                      | 81.0%   | 82.2%   | 81.2%   | 85.6%   |

The simple adjusted OM emission factor ( $EF_{grid,OM-adj,y}$ ) is thus applied. It is a variation of the simple OM, where the power plants/units (including imports) are separated in low-cost/must-run power sources (k) and other power sources (m).

#### STEP 4. Calculate the operating margin emission factor according to the selected method.

According to the tool, the simple adjusted OM emission factor ( $EF_{grid,OM-adj,y}$ ) is calculated based on the net electricity generation of each power unit and an emission factor for each power unit, as follows:

$$EF_{grid,OM-adj,y} = (1 - \lambda_y) \times \frac{\sum_m EG_{m,y} \times EF_{EL,m,y}}{\sum_m EG_{m,y}} + \lambda_y \times \frac{\sum_k EG_{k,y} \times EF_{EL,k,y}}{\sum_k EG_{k,y}}$$

Where:

- $EF_{grid,OM-adj,y}$  = Simple adjusted operating margin CO<sub>2</sub> emission factor in year y (tCO<sub>2</sub>/MWh).
- $\lambda_y$  = Factor expressing the percentage of time when low-cost/must-run power units are on the margin in year y
- $EG_{m,y}$  = Net quantity of electricity generated and delivered to the grid by power unit m in year y (MWh).
- $EG_{k,y}$  = Net quantity of electricity generated and delivered to the grid by power unit k in year y (MWh).
- $EF_{EL,m,y}$  = CO<sub>2</sub> emission factor of power unit m in year y (tCO<sub>2</sub>/MWh)
- $EF_{EL,k,y}$  = CO<sub>2</sub> emission factor of power unit m in year y (tCO<sub>2</sub>/MWh)
- m = All power units serving the grid in year y except low-cost/must-run power units.
- k = All low-cost/must run grid power units serving the grid in year y
- y = The relevant year as per the data vintage chosen in Step 3.

Under this option,  $EF_{EL,m,y}$ ,  $EF_{EL,k,y}$ ,  $EG_{m,y}$  and  $EG_{k,y}$ , are determined using the same procedures as those for the parameters  $EF_{EL,m,y}$  and  $EG_{m,y}$  in Option A of the simple OM method. For grid power plants,  $EG_{m,y}$  is determined as per the provisions in the monitoring tables of the tool, i.e. for the ex-ante option “once for each crediting period using the most recent three historical years for which data [from utility or government records or official publications] is available at the time of submission of the PDD to the DOE for validation.”

Since data on fuel consumption is not available, the emission factor ( $EF_{EL,m,y}$ ) is determined as follows (option A2 of the tool):

$$EF_{EL,m,y} = \frac{EF_{CO2,m,i,y} \times 3.6}{\eta_{m,y}}$$

Where:

- $EF_{EL,m,y}$  = CO<sub>2</sub> emission factor of power unit m in year y (tCO<sub>2</sub>/MWh)
- $EF_{CO2,m,i,y}$  = Average CO<sub>2</sub> emission factor of fuel type i used in power unit m in year y (t CO<sub>2</sub>/GJ)
- $\eta_{m,y}$  = Average net energy conversion efficiency of power unit m in year y (ratio)
- m = All power units serving the grid in year y except low-cost/must-run power units
- y = The relevant year as per the data vintage chosen in Step 3.
- 3,6 = Conversion factor (GJ/MWh)

Off-grid power plants are included in the operating margin emission factor.

CO<sub>2</sub> emission factor(s) for net electricity imports from the connected electricity system (Ethiopia) is conservatively considered as per TOOL07 §25 (a) as: 0 t CO<sub>2</sub>/MWh. No imports from connected electricity systems located in Annex I country(ies) nor electricity exports occur in Djibouti.

Approach to determine lambda ( $\lambda_y$ ) is chosen as Approach 1. Use default values of lambda from Table 1 appendix 2 based on the share of electricity generation from low-cost/must-run in total generation derived using 1) average of the five most recent years.

Approach 1 is applied because the LASL is not less than one-third of the HASL in a project electricity/ grid system demonstrated based on the yearly data for the years used to determine the OM emission factor.

Based on years 2018–2022, the calculated **Operating Margin is: 0.4752 tCO<sub>2</sub>/MWh**.

#### STEP 5. Calculate the build margin (BM) emission factor.

No data to calculate the Build Margin is available because:

- There are no 5 most recent power units
- The Djibouti grid power units do not comprise at least 20 per cent of the system generation

Since the data requirements for the application of Step 5 above cannot be met, and the project activity is located in: (i) a Least Developed Country (LDC), Simplified CM = OM

#### STEP 6. Calculate the combined margin (CM) emission factor.

The combined margin emission factor is calculated following the simplified CM approach, because the grid is located in LDC/SIDs/URC.

$$EF_{\text{grid,CM},y} = EF_{\text{grid,OM},y}$$

Based on years 2018-2022, the **combined margin emission factor** and grid emission factor value used to calculate the emission reductions of the wind power plant project is 0.4752 tCO<sub>2</sub>/MWh

### Calculation of EG<sub>PJ,y</sub>

Since the project activity consists of the installation of new grid-connected renewable power plant at a site where no renewable power plant was operated prior to the implementation of the project activity, the project activity is the installation of a greenfield renewable energy power plant, so that:

$$EG_{PJ,y} = EG_{\text{facility},y}$$

Where:

|                          |                                                                                                                                                               |
|--------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------|
| EG <sub>PJ,y</sub>       | Quantity of net electricity generation that is produced and supplied to the grid as a result of the implementation of the project activity in year y (MWh/yr) |
| EG <sub>facility,y</sub> | Quantity of net electricity generation supplied by the project plant/unit to the grid in year y (MWh/yr)                                                      |

Estimated baseline emissions per year<sup>21</sup>:

$$BE_y = EG_{PJ,y} \times EF_{\text{grid,CM},y}$$

$$BE_y = 235,306 \text{ MWh} \times 0.4752$$

$$BE_y = 111,817 \text{ t CO}_2\text{e}$$

## 5.2 Project Emissions

For most renewable energy power generation project activities, PE<sub>y</sub> = 0. However, some project activities may involve project emissions that can be significant. These emissions shall be accounted for as project emissions by using the following equation:

$$PE_y = PE_{FF,y} + PE_{GP,y} + PE_{HP,y} + PE_{BESS,y} + PE_{PSP,y}$$

Where:

$$PE_y = \text{Project emissions in year y (t CO}_2\text{e/yr)}$$

<sup>21</sup> According to Ex-ante ER Calculation Red Sea Spreadsheet

|               |   |                                                                                                                                                                                                                  |
|---------------|---|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| $PE_{FF,y}$   | = | Project emissions from fossil fuel consumption in year y (t CO <sub>2</sub> /yr)                                                                                                                                 |
| $PE_{GP,y}$   | = | Project emissions from the operation of dry, flash steam or binary geothermal power plants in year y (t CO <sub>2</sub> e/yr)                                                                                    |
| $PE_{HP,y}$   | = | Project emissions from water reservoirs of hydro power plants and pumped storage plants in year y (t CO <sub>2</sub> e/yr)                                                                                       |
| $PE_{BESS,y}$ | = | Project emissions from charging of a BESS using electricity from the grid or from fossil fuel electricity generators (t CO <sub>2</sub> e/yr)                                                                    |
| $PE_{PSP,y}$  | = | Project emissions from utilizing electricity from the grid for pumping operation of PSP in excess to the production of the renewable power plant operating in coordination with the PSP (t CO <sub>2</sub> e/yr) |

$PE_{FF,y}$ ,  $PE_{GP,y}$ ,  $PE_{HP,y}$ ,  $PE_{BESS,y}$  and  $PE_{PSP,y}$  are equal to 0 as the project is an installation of a wind power plant with no auxiliary fossil fuel consumption. In particular, ACM0002 §42 stipulates that for all renewable energy power generation project activities, emissions due to the use of fossil fuels for the backup generator can be neglected.

### 5.3 Leakage Emissions

No other leakage emissions are considered. The emissions potentially arising due to activities such as power plant construction and upstream emissions from fossil fuel use (e.g., extraction, processing, transport, etc.) are neglected.

### 5.4 Estimated GHG Emission Reductions and Carbon Dioxide Removals

| Vintage period             | Estimated baseline emissions (tCO <sub>2</sub> e) | Estimated project emissions (tCO <sub>2</sub> e) | Estimated leakage emissions (tCO <sub>2</sub> e) | Estimated reduction VCU (tCO <sub>2</sub> e) | Estimated removal VCU (tCO <sub>2</sub> e) | Estimated total VCUs (tCO <sub>2</sub> e) |
|----------------------------|---------------------------------------------------|--------------------------------------------------|--------------------------------------------------|----------------------------------------------|--------------------------------------------|-------------------------------------------|
| 01-Jun-2023 to 31-Dec-2023 | 65,558                                            | 0                                                | 0                                                | 65,558                                       | 0                                          | 65,558                                    |
| 01-Jan-2024 to 31-Dec-2024 | 111,817                                           | 0                                                | 0                                                | 111,817                                      | 0                                          | 111,817                                   |
| 01-Jan-2025 to 31-Dec-2025 | 111,817                                           | 0                                                | 0                                                | 111,817                                      | 0                                          | 111,817                                   |

|                            |                  |          |          |                  |          |                  |
|----------------------------|------------------|----------|----------|------------------|----------|------------------|
| 01-Jan-2026 to 31-Dec-2026 | 111,817          | 0        | 0        | 111,817          | 0        | 111,817          |
| 01-Jan-2027 to 31-Dec-2027 | 111,817          | 0        | 0        | 111,817          | 0        | 111,817          |
| 01-Jan-2028 to 31-Dec-2028 | 111,817          | 0        | 0        | 111,817          | 0        | 111,817          |
| 01-Jan-2029 to 31-Dec-2029 | 111,817          | 0        | 0        | 111,817          | 0        | 111,817          |
| 01-Jan-2030 to 31-Dec-2030 | 111,817          | 0        | 0        | 111,817          | 0        | 111,817          |
| 01-Jan-2031 to 31-Dec-2031 | 111,817          | 0        | 0        | 111,817          | 0        | 111,817          |
| 01-Jan-2032 to 31-Dec-2032 | 111,817          | 0        | 0        | 111,817          | 0        | 111,817          |
| 01-Jan-2033 to 31-May-2033 | 46,258           | 0        | 0        | 46,258           | 0        | 46,258           |
| <b>Total</b>               | <b>1,118,169</b> | <b>0</b> | <b>0</b> | <b>1,118,169</b> | <b>0</b> | <b>1,118,169</b> |

## 6 MONITORING

### 6.1 Data and Parameters Available at Validation

|                         |                                                                                                                                                                                                                 |
|-------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Data / Parameter</b> | EF <sub>grid,CM,y</sub>                                                                                                                                                                                         |
| <b>Data unit</b>        | tCO <sub>2</sub> /MWh                                                                                                                                                                                           |
| <b>Description</b>      | Combined margin CO <sub>2</sub> emission factor for grid connected power generation in year y calculated using the latest version of the “Tool to calculate the emission factor for an electricity system” v7.0 |
| <b>Source of data</b>   | Official Declaration from Ministry of energy and Natural Resources and excel sheet for calculation of Grid EF simple-adjusted.xlsx                                                                              |

|                                                                                              |                                                                                   |
|----------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------|
| Value applied:                                                                               | 0.4752                                                                            |
| Justification of choice of data or description of measurement methods and procedures applied | As per the “Tool to calculate the emission factor for an electricity system” v7.0 |
| Purpose of data                                                                              | Calculation of baseline emissions                                                 |
| Comments                                                                                     | -                                                                                 |

|                                                                                              |                                                                                                                                                                                                                  |
|----------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Data / Parameter                                                                             | EF <sub>grid,OM,y</sub>                                                                                                                                                                                          |
| Data unit                                                                                    | tCO <sub>2</sub> /MWh                                                                                                                                                                                            |
| Description                                                                                  | Operating Margin CO <sub>2</sub> emission factor for grid connected power generation in year y calculated using the latest version of the “Tool to calculate the emission factor for an electricity system” v7.0 |
| Source of data                                                                               | Electricité De Djibouti grid data (Données Energétiques EDD 29.10.24.xlsx and Grid EF 2023 simple-adjusted OM.xlsx)                                                                                              |
| Value applied:                                                                               | 0.4752                                                                                                                                                                                                           |
| Justification of choice of data or description of measurement methods and procedures applied | As per the “Tool to calculate the emission factor for an electricity system” v7.0                                                                                                                                |
| Purpose of data                                                                              | Calculation of baseline emissions                                                                                                                                                                                |
| Comments                                                                                     | -                                                                                                                                                                                                                |

|                  |                                                                                                                                    |
|------------------|------------------------------------------------------------------------------------------------------------------------------------|
| Data / Parameter | EF <sub>CO2,i,y</sub>                                                                                                              |
| Data unit        | t CO <sub>2</sub> /GJ                                                                                                              |
| Description      | CO <sub>2</sub> emission factor of fuel type i used in power unit m in year y                                                      |
| Source of data   | IPCC default values at the lower limit of uncertainty at a 95 per cent confidence interval as provided in table 1.4 of Chapter1 of |

|                                                                                              |                                                                         |
|----------------------------------------------------------------------------------------------|-------------------------------------------------------------------------|
|                                                                                              | Vol. 2 (Energy) of the 2006 IPCC Guidelines on National GHG Inventories |
| Value applied                                                                                | 72.6                                                                    |
| Justification of choice of data or description of measurement methods and procedures applied | <i>Residual diesel default value</i>                                    |
| Purpose of Data                                                                              | Calculation of baseline emissions                                       |
| Comments                                                                                     | -                                                                       |

|                                                                                              |                                                                                                                                                                                              |         |         |         |         |  |
|----------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------|---------|---------|---------|--|
| Data / Parameter                                                                             | EG <sub>m,y</sub> , EG <sub>y</sub> , EG <sub>k,y</sub>                                                                                                                                      |         |         |         |         |  |
| Data unit                                                                                    | MWh                                                                                                                                                                                          |         |         |         |         |  |
| Description                                                                                  | Net electricity generated by power plants/unit m, k in year y                                                                                                                                |         |         |         |         |  |
| Source of data                                                                               | Utility or government records (Electricité De Djibouti)                                                                                                                                      |         |         |         |         |  |
| Value applied                                                                                | As per grid emission factor spreadsheet data                                                                                                                                                 |         |         |         |         |  |
|                                                                                              | 2022                                                                                                                                                                                         | 2021    | 2020    | 2019    | 2018    |  |
| EG <sub>m,y</sub>                                                                            | 99,619                                                                                                                                                                                       | 126,758 | 114,994 | 131,199 | 43,369  |  |
| EG <sub>k,y</sub>                                                                            | 657,576                                                                                                                                                                                      | 561,993 | 552,571 | 494,585 | 526,034 |  |
| Justification of choice of data or description of measurement methods and procedures applied | Once for each crediting period using the most recent three historical years for which data is available at the time of submission of the CDM-PDD to the DOE for validation (ex-ante option). |         |         |         |         |  |
| Purpose of Data                                                                              | Calculation of baseline emissions                                                                                                                                                            |         |         |         |         |  |
| Comments                                                                                     | -                                                                                                                                                                                            |         |         |         |         |  |

|                  |                                                                                                                                                       |
|------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------|
| Data / Parameter | $\eta_{m,y}$                                                                                                                                          |
| Data unit        | -                                                                                                                                                     |
| Description      | Average net energy conversion efficiency of power unit m in year y                                                                                    |
| Source of data   | The default values provided in in Table 2, Appendix of TOOL09: "Determining the baseline efficiency of thermal or electric energy generation systems" |

|                                                                                              |                                                 |
|----------------------------------------------------------------------------------------------|-------------------------------------------------|
| Value applied                                                                                | 33% as the commissioning year from below < 2000 |
| Justification of choice of data or description of measurement methods and procedures applied | Once for the crediting period                   |
| Purpose of Data                                                                              | Calculation of baseline emissions               |
| Comments                                                                                     | -                                               |

## 6.2 Data and Parameters Monitored

|                                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
|-----------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Data / Parameter                                          | $EG_{\text{facility},y}$                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| Data unit                                                 | MWh/yr                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| Description                                               | Quantity of net electricity generation supplied by the project plant/unit to the grid in year y                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| Source of data                                            | Electricité de Djibou (EDD) invoices receipt/SCADA Data/official Declaration from Ministry of energy and natural resources.                                                                                                                                                                                                                                                                                                                                                                                                                                |
| Description of measurement methods and procedures applied | <p>Data is electronically registered by the installed meters which are under the control of EDD. EDD quarterly invoice receipt for generation records, also, Separate invoices for imported energy provided by EDD.</p> <p>The 4 meters are Brand ITRON, Model SL7000, Accuracy class: 0.2S (<math>\pm 0.2\%</math>) with the following serial numbers.</p> <p>Meter 1: 2104613345 – 2104613345 (Main)</p> <p>Meter 2: 2104613346 – 2104613346 (Backup)</p> <p>Meter 3: 2104613347 – 2104613347 (Main)</p> <p>Meter 4: 2104613348 -2104613348 (Backup)</p> |
| Frequency of monitoring/recording                         | Hourly and monthly monitoring through SCADA; Quarterly monitoring/records through EDD invoice receipt and annual records through ministry letter.                                                                                                                                                                                                                                                                                                                                                                                                          |
| Value applied:                                            | 235,306 (Ex-ante)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| Monitoring equipment                                      | Bidirectional electricity meters.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |



|                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
|--------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                          | <p>The 4 Energy Meters located in project substation are Brand ITRON, Model SL7000, Accuracy class: 0.2S (<math>\pm 0.2\%</math>) with the following serial numbers.</p> <p>Meter 1: 2104613345 – 2104613345 (Main)</p> <p>Meter 2: 2104613346 – 2104613346 (Backup)</p> <p>Meter 3: 2104613347 – 2104613347 (Main)</p> <p>Meter 4: 2104613348 -2104613348 (Backup)</p> <p>Accuracy class: 0.2S for all meters (EDD and RSP)</p>                                                                                                                                                                                                |
| QA/QC procedures applied | <p>Local Government has no role on Accuracy/calibration test. The accuracy/calibration test will be done annually. The project proponent and EDD conduct annual inspection from the date of take over certificate which was 29 February 2024. the Project proponent will take over the Accuracy/calibration test after the date of takeover certificate.</p> <p>There are 4 energy meters having 2 main and 2 backup meters (for 2 lines connected to government substation)</p> <p>The meters are under control of EDD</p> <p>Electricité de Djibou (EDD) is responsible for measuring the data of electricity generation.</p> |
| Purpose of data          | Calculation of baseline emissions                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| Calculation method       | Electronic recording                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| Comments                 | Hourly and monthly continuous monitoring through SCADA                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |

### 6.3 Monitoring Plan

The proposed project activity monitoring plan complies with the methodology ACM0002 - Consolidated baseline methodology for grid-connected electricity generation from renewable sources (Version 22.0), whereby it is stated that:

“All data collected as part of monitoring should be archived electronically and be kept at least for 2 years after the end of the last crediting period. 100% of the data should be monitored if not indicated otherwise in the tables of Section 6.1 of ACM0002 Ver. 22. All measurements should be conducted with calibrated measurement equipment according to relevant industry standards.”

Therefore, the quantity of net electricity generation supplied by the project plant to the grid is reliably monitored through calibrated electricity meters and cross-checked with sales records as per internal monitoring practices.

As concerns the monitoring, Red Sea Power management has the overall responsibility for all VCS monitoring of the project, including:

- Develop, approve, execute, and improve the VCS Monitoring/Reporting Procedures.
- Organize in-house seminar to inform and train the company staff to the monitoring procedures.
- Ensure that instrumentations and devices are available and perfectly suited to efficiently perform the monitoring.
- Communicate and coordinate the monitoring work of all business units.
- Validate and electronically archive all monitoring data on a monthly basis throughout the crediting period (and conserve it at least for 2 further years).
- Calculate and report the emission reductions; and
- Coordinate the VVB work during the verification audit.

A VCS coordinator might be appointed with delegation of the above specific tasks of monitoring supervision. Recorded data is immediately collected and managed in user-friendly, detailed reports and tables to facilitate analysis.

### Monitoring team and training

A resolute team adequately trained and well aware step 5 of VCS requirements, undertakes data collection, consolidation, and results analysis. This team does not have any hierarchical relationships or dependence links with all entities involved to measure net electricity supplied to the grid and to assure the correct operation and maintenance of the measuring equipment. This independence shall guarantee the integrity of the work that is done.

### Emergency and trouble-shooting procedures

Immediate response capability is achieved through the implementation of a system of supervision and control that transfers real-time all information about the state of the equipment. The operator will provide a team of qualified stakeholders that can react in "real time" according to unscheduled outage and maintenance procedures.

## 7 QUANTIFICATION OF GHG EMISSION REDUCTIONS AND REMOVALS

### 7.1 Data and Parameters Monitored

|                  |                          |
|------------------|--------------------------|
| Data / Parameter | EG <sub>facility,y</sub> |
| Data unit        | MWh/yr                   |

| Description                                               | Quantity of net electricity generation supplied by the project plant/unit to the grid in year y.                                                                                                                                                                                                                                                                                                                                                                                                                                           |  |        |     |                                 |        |                                    |         |       |         |
|-----------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|--------|-----|---------------------------------|--------|------------------------------------|---------|-------|---------|
| Source of Data                                            | Electricité de Djibou (EDD) invoices receipt /SCADA Data/official Declaration from Ministry of Energy and Natural Resources.                                                                                                                                                                                                                                                                                                                                                                                                               |  |        |     |                                 |        |                                    |         |       |         |
| Value applied:                                            | <table><tr><th>Period</th><th>MWh</th></tr><tr><td>01 June 2023 - 31 December 2023</td><td>81,146</td></tr><tr><td>01 January 2024 – 31 December 2024</td><td>204,899</td></tr><tr><td>Total</td><td>286,045</td></tr></table>                                                                                                                                                                                                                                                                                                             |  | Period | MWh | 01 June 2023 - 31 December 2023 | 81,146 | 01 January 2024 – 31 December 2024 | 204,899 | Total | 286,045 |
| Period                                                    | MWh                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |  |        |     |                                 |        |                                    |         |       |         |
| 01 June 2023 - 31 December 2023                           | 81,146                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |  |        |     |                                 |        |                                    |         |       |         |
| 01 January 2024 – 31 December 2024                        | 204,899                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |  |        |     |                                 |        |                                    |         |       |         |
| Total                                                     | 286,045                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |  |        |     |                                 |        |                                    |         |       |         |
| Description of measurement methods and procedures applied | <p>Data is electronically registered by the installed meters which are under the control of EDD. EDD quarterly invoice receipt for generation records, also, Separate invoices for imported energy provided by EDD.</p> <p>The 4 meters are Brand ITRON, Model SL7000, Accuracy class: 0.2S (±0. 2%) with the following serial numbers.</p> <p>Meter 1: 2104613345 – 2104613345 (Main)</p> <p>Meter 2: 2104613346 – 2104613346 (Backup)</p> <p>Meter 3: 2104613347 – 2104613347 (Main)</p> <p>Meter 4: 2104613348 -2104613348 (Backup)</p> |  |        |     |                                 |        |                                    |         |       |         |
| Frequency of monitoring/recording                         | Hourly and monthly monitoring through SCADA; Quarterly monitoring/records through EDD invoice receipt and annual records through ministry letter.                                                                                                                                                                                                                                                                                                                                                                                          |  |        |     |                                 |        |                                    |         |       |         |
| Monitoring equipment                                      | <p>Bidirectional electricity meters.</p> <p>The 4 Energy Meters located in project substation are Brand ITRON, Model SL7000, Accuracy class: 0.2S (±0. 2%) with the following serial numbers.</p> <p>Meter 1: 2104613345 – 2104613345 (Main)</p> <p>Meter 2: 2104613346 – 2104613346 (Backup)</p> <p>Meter 3: 2104613347 – 2104613347 (Main)</p> <p>Meter 4: 2104613348 -2104613348 (Backup)</p>                                                                                                                                           |  |        |     |                                 |        |                                    |         |       |         |
| QA/QC procedures applied                                  | Local Government has no role on accuracy/calibration test. The accuracy/calibration test will be done annually. The project proponent and EDD conduct annual inspection from the date of                                                                                                                                                                                                                                                                                                                                                   |  |        |     |                                 |        |                                    |         |       |         |

|                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
|--------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                    | take over certificate which was 29 February 2024. Following this date, the project proponent will be responsible for conducting the annual calibration/accuracy tests.                                                                                                                                                                                                                                                                                                                                                     |
| Purpose of data    | Ex post ER calculation                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| Calculation method | Electronic recording                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| Comments           | For year 2023, EDD receipt is not available, then official declaration from the Ministry of Energy and Natural Resources is compared with SCADA Data in the calculation. Also, for the year 2024, EDD quarterly invoice receipt is available and therefore it has been used along with annual generation records which contains additional energy supplied and compared with the SCADA/Ministry data. Then, the minimum conservative value is used for calculation of total energy generation and used for ER calculation. |

## 7.2 Baseline Emissions

Baseline emissions include only CO<sub>2</sub> emissions from electricity generation in fossil fuel fired power plants that are displaced due to the project activity. The methodology assumes that all project electricity generation above baseline levels would have been generated by existing grid-connected power plants and/or the addition of new grid-connected power plants. The baseline emissions are to be calculated as follows:

$$BE_y = EG_{PJ,y} \times EF_{grid,CM,y}$$

Where:

|                  |                                                                                                                                                               |
|------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------|
| $BE_y$           | Baseline emissions in year y (t CO <sub>2</sub> /yr)                                                                                                          |
| $EG_{PJ,y}$      | Quantity of net electricity generation that is produced and supplied to the grid as a result of the implementation of the project activity in year y (MWh/yr) |
| $EF_{grid,CM,y}$ | Combined margin CO <sub>2</sub> emission factor for grid connected power generation in year y calculated using TOOL07 (t CO <sub>2</sub> /MWh)                |

The **combined margin emission factor** and grid emission factor value used to calculate the emission reductions of the wind power plant project is **0.4752 tCO<sub>2</sub>/MWh**

Calculation of  $EG_{PJ,y}$

Since the project activity consists of the installation of new grid-connected renewable power plant at a site where no renewable power plant was operated prior to the implementation of the project activity, the project activity is the installation of a greenfield renewable energy power plant, so that:

$$EG_{PJ,y} = EG_{facility,y}$$

Where:

|                   |                                                                                                                                                               |
|-------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------|
| $EG_{PJ,y}$       | Quantity of net electricity generation that is produced and supplied to the grid as a result of the implementation of the project activity in year y (MWh/yr) |
| $EG_{facility,y}$ | Quantity of net electricity generation supplied by the project plant/unit to the grid in year y (MWh/yr)                                                      |

Baseline emissions per year<sup>22</sup>:

$$BE_y = EG_{PJ,y} \times EF_{grid,CM,y}$$

$$BE_{2023} = 81,146 \text{ MWh} \times 0,4752$$

$$BE_{2023} = 38,560 \text{ t CO}_2e$$

$$BE_{2024} = 204,899 \text{ MWh} \times 0.4752$$

$$BE_{2024} = 97,367 \text{ t CO}_2e$$

### 7.3 Project Emissions

For most renewable energy power generation project activities,  $PE_y = 0$ . However, some project activities may involve project emissions that can be significant. These emissions shall be accounted for as project emissions by using the following equation:

$$PE_y = PE_{FF,y} + PE_{GP,y} + PE_{HP,y} + PE_{BESS,y} + PE_{PSP,y}$$

Where:

|             |   |                                                                                                                               |
|-------------|---|-------------------------------------------------------------------------------------------------------------------------------|
| $PE_y$      | = | Project emissions in year y (t CO <sub>2</sub> e/yr)                                                                          |
| $PE_{FF,y}$ | = | Project emissions from fossil fuel consumption in year y (t CO <sub>2</sub> /yr)                                              |
| $PE_{GP,y}$ | = | Project emissions from the operation of dry, flash steam or binary geothermal power plants in year y (t CO <sub>2</sub> e/yr) |
| $PE_{HP,y}$ | = | Project emissions from water reservoirs of hydro power plants and pumped storage plants in year y (t CO <sub>2</sub> e/yr)    |

<sup>22</sup> According to ER calculations Red Sea MR1

|               |   |                                                                                                                                                                                                                  |
|---------------|---|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| $PE_{BESS,y}$ | = | Project emissions from charging of a BESS using electricity from the grid or from fossil fuel electricity generators (t CO <sub>2</sub> e/yr)                                                                    |
| $PE_{PSP,y}$  | = | Project emissions from utilizing electricity from the grid for pumping operation of PSP in excess to the production of the renewable power plant operating in coordination with the PSP (t CO <sub>2</sub> e/yr) |

$PE_{FF,y}$ ,  $PE_{GP,y}$ ,  $PE_{HP,y}$ ,  $PE_{BESS,y}$  and  $PE_{PSP,y}$  are equal to 0 as the project is an installation of a wind power plant with no auxiliary fossil fuel consumption. In particular, ACM0002 §42 stipulates that for all renewable energy power generation project activities, emissions due to the use of fossil fuels for the backup generator can be neglected.

## 7.4 Leakage Emissions

No other leakage emissions are considered. The emissions potentially arising due to activities such as power plant construction and upstream emissions from fossil fuel use (e.g., extraction, processing, transport, etc.) are neglected.

## 7.5 GHG Emission Reductions and Carbon Dioxide Removals

| Vintage period             | Baseline emissions (tCO <sub>2</sub> e) | Project emissions (tCO <sub>2</sub> e) | Leakage emissions (tCO <sub>2</sub> e) | Reduction VCU (tCO <sub>2</sub> e) | Removal VCU (tCO <sub>2</sub> e) | Total VCUs (tCO <sub>2</sub> e) |
|----------------------------|-----------------------------------------|----------------------------------------|----------------------------------------|------------------------------------|----------------------------------|---------------------------------|
| 01-Jun-2023 to 31-Dec-2023 | 38,560                                  | 0                                      | 0                                      | 38,560                             | 0                                | 38,560                          |
| 01-Jan-2024 to 31-Dec-2024 | 97,367                                  | 0                                      | 0                                      | 97,367                             | 0                                | 97,367                          |
| Total                      | 135,927                                 | 0                                      | 0                                      | 135,927                            | 0                                | 135,927                         |

| Vintage period             | Ex-ante estimated reductions/removals | Achieved reductions/removals | Percent difference | Explanation for the difference                                                                                                   |
|----------------------------|---------------------------------------|------------------------------|--------------------|----------------------------------------------------------------------------------------------------------------------------------|
| 01-Jun-2023 to 31-Dec-2023 | 65,558                                | 38,560                       | 59%                | During the first 6 months, energy was supplied to the grid while the plant was under testing, therefore, not as a 100% capacity. |
| 01-Jan-2024 to 31-Dec-2024 | 111,817                               | 97,367                       | 87%                | Ex-ante calculations are based on “as-built”                                                                                     |

|       |         |         |     |                                                                                                                                                                                                                                |
|-------|---------|---------|-----|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|       |         |         |     | parameters and feasibility studies.                                                                                                                                                                                            |
| Total | 177,375 | 135,927 | 77% | During the first 6 months, energy was supplied to the grid while the plant was under testing, therefore, not as a 100% capacity. Furthermore, ex-ante calculations are based on “as-built” parameters and feasibility studies. |

# APPENDIX 1: COMMERCIALY SENSITIVE INFORMATION

N/A